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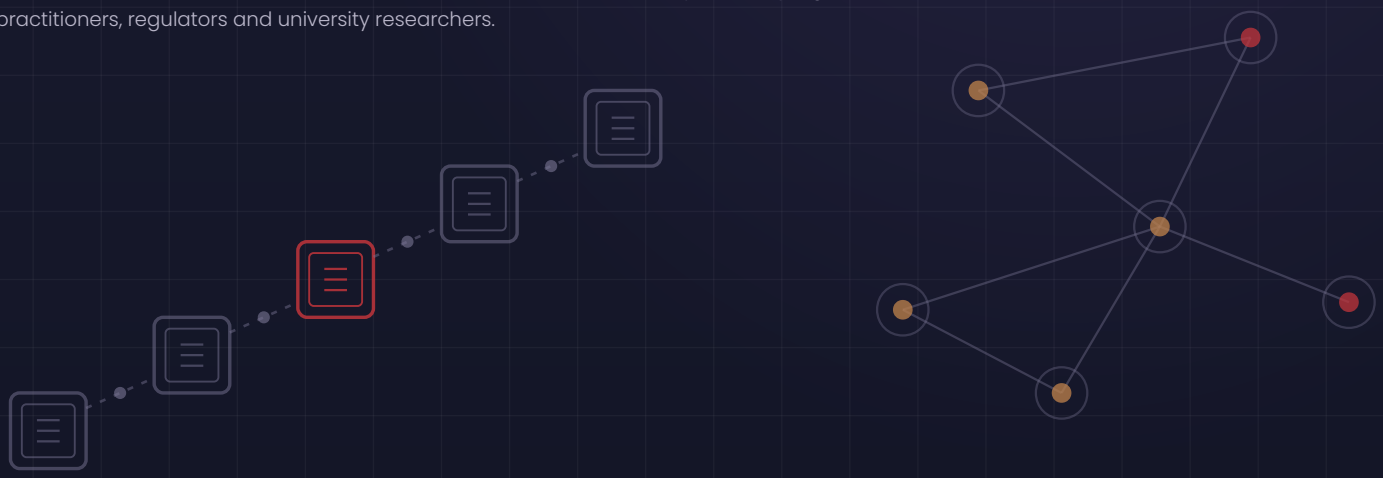
Stablecoins in Nigeria



Classification, Reserve Liabilities and the Contested Regulatory Perimeter

Property, custody, insolvency and monetary sovereignty under the Investments and Securities Act 2025, the Executive Order on Virtual Assets Coordination 2026 and the Guidelines on the Taxation of Virtual Assets 2026

Law stated as at 7 August 2026. Read against the Investments and Securities Act 2025, the SEC Amended Rules on Digital Assets (effective 30 June 2025), the Executive Order on Virtual Assets Coordination 2026 and NRS Information Circular No. 2026/21. Prepared for judges, senior practitioners, regulators and university researchers.



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ABOUT THIS BULLETIN

This Bulletin examines the legal ordering of stablecoins in Nigeria: their classification, the proprietary status of the holder's entitlement, the custody and insolvency treatment of reserve assets, and the regulatory, fiscal and monetary architecture within which they operate. It is issued by the Centre for Law & Development Studies as part of its programme of work on the regulation of digital assets in Nigeria, and is addressed to judges, senior practitioners, financial regulators (including the CBN, the SEC and the NDIC) and university researchers.

ABOUT THE CENTRE

The Centre for Law & Development Studies is an independent research body working at the intersection of Nigerian statutory frameworks and emerging technology. Its programmes cover digital assets regulation, artificial intelligence and the law, data protection, financial services regulation and legal technology. The Centre undertakes independent research on the legal and institutional foundations of economic development, publishes bulletins, working papers and practitioner guidance, and convenes training for the profession, the academy and the regulated community.

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The Law & Policy Series examines questions of law and public policy of consequence for Nigeria, including the regulation of digital finance, payments and capital markets, for judges, practitioners, regulators and researchers.

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Executive Abstract and Doctrinal Summary

28.7m	3	₦2.62bn	1.5%	Stage 3
NIGERIANS USING STABLECOINS IN 2024	CLASSIFICATIONS OF ONE INSTRUMENT IN NIGERIAN LAW	CNGN IN CIRCULATION AT 30 JUNE 2026	STAMP DUTY ON EACH FIAT CONVERSION LEG	FSB IMPLEMENTATION STAGE FOR NIGERIA

Nigeria is now a principal test jurisdiction for the legal ordering of stablecoins. An estimated 28.7 million Nigerians used them for remittances, savings and cross-border purchases in 2024, yet the governing legal architecture remains fractured. Three recent instruments classify stablecoins in three materially different ways: as securities under section 357 of the Investments and Securities Act 2025, as a defined sub-species of virtual asset under the Securities and Exchange Commission's Amended Digital Assets Rules 2025, and as payment and settlement tokens under the Nigeria Revenue Service Guidelines on the Taxation of Virtual Assets 2026. The Executive Order on Virtual Assets Coordination 2026 allocates supervisory competence between the SEC and the Central Bank of Nigeria by reference to activity, but an executive instrument cannot create the private-law protections holders most require.

This Bulletin argues that the decisive questions are proprietary rather than definitional. Nigerian law presently confers no statutory redemption right at par, no statutory trust over reserve assets, no ranking of holders in an issuer's insolvency and no settlement finality protection for transfers on distributed ledgers. Reserve quality in the regulated naira segment is therefore a product of issuer practice, not legal obligation. The fiscal framework compounds the difficulty: it leaves the dollar-hedging return on foreign stablecoins untaxed while imposing a 1.5 per cent duty on fiat conversions, in tension with the Nigeria Payments System Vision 2028. The Bulletin proposes coordinated statutory, adjudicative and inter-agency reforms.

ABSTRACT: 236 WORDS

KEYWORDS

stablecoins; virtual assets; Investments and Securities Act 2025; SEC Amended Digital Assets Rules 2025; reserve assets; statutory trust; insolvency priority; redemption at par; settlement finality; cNGN; eNaira; Executive Order on Virtual Assets Coordination 2026; NRS Guidelines on the Taxation of Virtual Assets 2026; digital dollarisation; monetary sovereignty.

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Doctrinal Summary: Principal Propositions

1. **Classification is divergent, not settled.** Stablecoins are securities under section 357 of the Investments and Securities Act 2025, a defined sub-species of virtual asset under the SEC's Amended Rules, and Category 2 payment tokens under the NRS Guidelines. Each classification tracks the functional preoccupation of the authority making it.

2. **Jurisdiction is allocated by executive instrument only.** The Executive Order of 17 July 2026 assigns securities-type activity to the SEC and payment, settlement and custody services involving non-security virtual assets to the CBN. It coordinates existing powers but cannot create new ones or bind a future administration as statute would.

3. **The holder's claim is contractual.** In the regulated naira segment the holder's entitlement is a refund liability repayable on demand. There is no statutory redemption right, no statutory trust and no statutory ranking in insolvency.

4. **Segregation protects custodial clients, not issuer reserves.** The segregation duty in the Amended Rules binds Digital Asset Custodians. Whether an issuer's segregated reserve would survive the issuer's insolvency, and in whose favour, is unanswered by Nigerian law.

5. **Prudential quality is voluntary.** No Nigerian rule prescribes the composition of a stablecoin reserve. Strong current practice is a fact about an issuer, not a property of the framework.

6. **Nigeria faces an inverse perimeter problem.** Where the EU and US must decide when a payment token becomes a security, Nigeria must decide when a supervised security is functioning purely as a means of payment.

7. **Settlement finality is a statutory gap with fiscal stakes.** DLT transfers lack statutory finality protection, and token-native tax remittance now exposes public revenue to the same risk.

8. **Fiscal design interacts with monetary sovereignty.** The dollar-referenced gains methodology leaves the depreciation hedge untaxed, while a 1.5 per cent conversion duty burdens the corridor the PSV 2028 seeks to promote.

PART 1 OF 9

01 The Stablecoin Question in Nigerian Law

Nigeria is Africa's largest economy and one of its most active digital asset markets. The legal question it now confronts is not whether stablecoins will be used, for they already are at scale, but whether Nigerian law will define what a holder actually owns, against whom, and with what protection when an issuer fails.

1.1 Context and significance

For much of the preceding decade, Nigeria's posture toward digital assets was marked by administrative resistance and legislative silence. That posture has changed decisively. Between 2024 and mid-2026 the country enacted a securities statute that expressly reaches digital assets, the Securities and Exchange Commission (SEC) promulgated amended rules for virtual asset service providers, the Central Bank of Nigeria (CBN) integrated stablecoins into its payments strategy, the President established an inter-agency coordination council by executive order, and the Nigeria Revenue Service (NRS) issued a detailed tax circular on virtual assets. A comprehensive Virtual Asset Service Providers Regulation Bill passed second reading in the Senate in June 2026.[1]

The demand driving these developments is macroeconomic as much as technological. Naira volatility, inflation of 15.91 per cent in June 2026 and persistent foreign exchange scarcity have generated substantial demand for dollar-denominated stablecoins such as Tether (USDT) and USD Coin (USDC).[2] The International Monetary Fund (IMF) has placed Nigeria among the top three countries globally for crypto adoption and has warned that the resulting 'digital dollarisation' may weaken monetary policy transmission, increase capital flow volatility and disintermediate the banking sector.[3] Table 1 collects the principal indicators.

1. Investments and Securities Act 2025 (ISA 2025), s. 357; Securities and Exchange Commission, Amendments to the Rules on Digital Assets Issuance, Offering Platform, Exchange and Custody (effective 30 June 2025) (Amended Rules); Central Bank of Nigeria, *Nigeria Payments System Vision 2028* (June 2026) (PSV 2028); Presidential Executive Order on Virtual Assets Coordination, 2026 (signed 17 July 2026) (Executive Order); Nigeria Revenue Service, *Guidelines on the Taxation of Virtual Assets* (Information Circular No. 2026/21, 31 July 2026) (NRS Guidelines); Virtual Asset Service Providers Regulation Bill 2026 (SB 956).
2. National Bureau of Statistics, *June 2026 CPI Report* (NBS 2026); J. De Luna Martinez and D. Kale, 'Regulating the Crypto Market in Nigeria' (IMF Selected Issues Paper SIP/2025/096, 2025) 6 (IMF Selected Issues Paper).
3. IMF Selected Issues Paper, 2 to 3; International Monetary Fund, *Nigeria: 2026 Article IV Consultation* (IMF Country Report No. 26/125, 9 June 2026).

AT A GLANCE · SCALE AND POLICY ENVIRONMENT

28.7m NIGERIANS USING STABLECOINS FOR REMITTANCES, SAVINGS AND PURCHASES (2024); 11.8% OF POPULATION	**US$92.1bn** CRYPTO TRANSACTION VOLUME, JULY 2024 TO JUNE 2025	**~43%** STABLECOIN SHARE OF TRANSACTION VOLUME ACROSS SUB-SAHARAN AFRICA	**~US$59bn** ANNUAL CRYPTO INFLOWS CITED IN THE IMF 2026 ARTICLE IV STABLECOIN NOTE
15.91% HEADLINE INFLATION, JUNE 2026	**>US$20bn** ANNUAL DIASPORA REMITTANCES IN RECENT YEARS; TRADITIONAL COSTS OFTEN 7% TO 10%	**28% | 22%** NIGERIAN CRYPTO INVESTORS WHO OWN OR HAVE OWNED USDT | USDC (2024)	**~40m** ESTIMATED UNBANKED ADULTS
Stage 3 FSB IMPLEMENTATION STAGE FOR NIGERIA (2025 THEMATIC REVIEW): FRAMEWORK UNDER PUBLIC DISCUSSION	**₦2.62bn** CNGN IN CIRCULATION AT 30 JUNE 2026 ATTESTATION DATE	**₦31.48trn** PENSION FUND ASSETS (JULY 2026), RELEVANT TO TOKENISED INSTITUTIONAL PRODUCTS	**24 Oct 2025** REMOVAL OF NIGERIA FROM THE FATF GREY LIST

TABLE 1 Selected indicators of stablecoin use and the Nigerian policy environment

NOTE. The indicators are drawn from heterogeneous sources and reporting periods and are presented to establish scale rather than for direct arithmetical comparison. Their juridical significance is cumulative: the volume of dollar-referenced activity, set against inflation and remittance dependency, explains why questions of redemption, reserve protection and currency substitution have acquired an urgency in Nigeria that they lack in jurisdictions with stable reserve currencies.

Sources: Chainalysis, *2025 Geography of Crypto Report*; IMF Selected Issues Paper (2025); IMF 2026 Article IV Consultation; Consensys and YouGov, *Global Survey on Crypto and Web3* (2024); NBS June 2026 CPI; FSB Thematic Review (October 2025); PenCom (July 2026); FATF Plenary Outcomes (October 2025); independent reserve attestation for cNGN (June 2026).

1.2 Scope, method and state of the law

This Bulletin addresses judges, senior practitioners, financial regulators and researchers. Its method is doctrinal and functional. It asks first what each Nigerian instrument actually provides, then what legal consequences follow for the holder, the issuer, the custodian and the State, and finally where the framework leaves a question that only legislation or adjudication can answer. The law is stated as at 7 August 2026. The Harmonised Implementation Framework that the Virtual Asset Council was directed to produce within thirty days of the Executive Order fell due on or about 16 August 2026; its content, if issued, falls outside the period covered here, as does the legislative fate of the Virtual Asset Service Providers Regulation Bill 2026.

LAW STATED AS AT

7 August 2026. The Harmonised Implementation Framework and the legislative fate of the VASP Bill fall outside the period covered.

The central thesis is that stablecoins are a legally distinct instrument occupying a hybrid position between electronic money, deposits and securities, and that Nigeria's recent progress on jurisdiction has outpaced its progress on entitlement. The appearance of settlement achieved at the level of supervisory allocation conceals three unresolved questions of private and insolvency law: the proprietary status of the token, the legal character of the reserve, and the finality of on-chain settlement. Each is examined in turn, followed by the fiscal and monetary dimensions and a structured programme of reform.

PART 2 OF 9

02 Classification and Function

2.1 The regulatory definition

The operative Nigerian definition is supplied by the SEC. It is deliberately broad, capturing any virtual asset that aims at value stability by reference to an asset or basket of assets, and it establishes a narrower sub-category for fiat-referenced tokens intended for use as a means of payment or store of value. The breadth of the parent definition is significant: it is mechanism-neutral, so that reserve-backed, collateralised and algorithmic designs fall within it alike.

BOX 1 · REGULATORY DEFINITION

SEC Amended Rules on Digital Assets, cl. 5.0: 'stablecoin'

> *'a virtual asset that aims to maintain a stable value relative to a specified asset, or a pool or basket of assets, including one or more official currencies.'*

Sub-category. A fiat-referenced stablecoin references one or more fiat currencies and is intended for use as a means of payment or store of value.

Evidential presumption. The Amended Rules reaffirm the Commission's position that crypto assets are securities unless proven otherwise, placing the burden of proof on the operator, issuer or sponsor.

SCHOLARLY NOTE. The definition mirrors the functional orientation of the EU Markets in Crypto-Assets Regulation but avoids its binary division between asset-referenced tokens and e-money tokens. Two consequences follow. First, the definition does not itself differentiate risk by stabilisation mechanism, so any prudential differentiation must be supplied elsewhere. Second, the burden-of-proof presumption means that a stablecoin issuer contesting securities characterisation bears the evidential onus, a point of direct relevance to any court asked to determine whether a given token falls within the Commission's perimeter.[4]

2.2 Stabilisation mechanisms and their legal consequences

The mechanism by which a stablecoin maintains its value is not a technical detail. It determines whether there is an identifiable obligor, whether there is a reserve against which a claim could attach, and what kind of failure the holder is exposed to. Nigerian instruments have so far declined to draw these distinctions. The NRS Guidelines place USDT, USDC, BUSD, DAI and PYUSD in a single category without differentiation, notwithstanding that these instruments carry materially different reserve, redemption and de-pegging risk profiles; and the Amended Rules, unlike the EU regime, contain no explicit restriction on algorithmic stabilisation.[5] Table 2 sets out the functional matrix that a prudential framework would need to recognise.

SEE TABLE 2
Only the reserve-backed model presents a pool of assets to which trust, segregation and insolvency-priority rules could attach.

4. Amended Rules, cl. 5.0; Regulation (EU) 2023/1114 of the European Parliament and of the Council of 31 May 2023 on markets in crypto-assets [2023] OJ L150/1 (MiCA).
5. NRS Guidelines, para. 5.0; compare MiCA, whose reserve and design requirements operate to restrict purely algorithmic stabilisation mechanisms.

CLASSIFICATION AND FUNCTIONAL MATRIX

ATTRIBUTE	FIAT-REFERENCED, RESERVE-BACKED	CRYPTO-COLLATERALISED	ALGORITHMIC
Stabilisation mechanic	Tokens minted against fiat received and burned on redemption, so that circulation corresponds to value held in reserve (1:1 reference)	Value maintained by reference to a pool of other crypto-assets committed as collateral, rather than fiat reserves held with regulated institutions	Smart contracts expand, contract or rebase supply in response to demand, without real-world collateral
Locus of backing	Deposits, government securities and money market fund units held with regulated institutions in segregated accounts	On-chain collateral whose own market value fluctuates	None; stability depends on protocol design and market confidence
Identifiable obligor	Yes: an issuer bearing a redemption obligation (in the regulated naira segment, an SEC-supervised company)	Depends on governance of the protocol; not addressed by Nigerian instruments	Depends on governance of the protocol; not addressed by Nigerian instruments
Nature of holder's claim	Contractual refund liability against the issuer, repayable on demand through its redemption process	Determined principally by protocol terms and collateral mechanics	No claim against reserve assets, because none exist
Statutory redemption at par (Nigeria)	**Absent.** Recommended: par redemption in referenced currency within five business days	**Absent**	**Absent**
Nigerian regulatory treatment	Security under ISA 2025, s. 357; within SEC definition and fiat-referenced sub-category; NRS Category 2	Security under s. 357 as a starting point; within SEC definition; NRS Category 2 (e.g. DAI)	Within SEC definition; no explicit restriction in Amended Rules; NRS Category 2 without distinction
Principal counterparty and systemic risks	Issuer insolvency; discretionary reserve composition; depository concentration; enforceability against foreign issuers; redemption pressure	Collateral volatility and de-pegging; smart-contract and technology risk; custody risk on public blockchains	De-pegging without a reserve backstop; design failure; absence of any recoverable asset pool
Comparative benchmark	FSB: timely redemption at par into fiat for single-currency tokens; GENIUS Act: 100% high-quality liquid reserves	FSB 'same activity, same risk, same regulation'	MiCA: purely algorithmic designs effectively excluded from operating as stablecoins

TABLE 2 Classification and functional matrix: stabilisation mechanics, legal rights and systemic risk

SCHOLARLY NOTE. The matrix is analytical rather than statutory: no Nigerian instrument yet adopts this three-way division. Its purpose is to show that the legal rights a holder can assert are a function of mechanism. Only the reserve-backed model presents a pool of assets to which trust, segregation and insolvency-priority rules could attach, which is why the reform proposals in Part 8 concentrate prudential obligations on that model while recommending that primary legislation expressly differentiate the other two.

Sources: Amended Rules, cl. 5.0; NRS Guidelines, para. 5.0; FSB, *Regulation, Supervision and Oversight of Global Stablecoin Arrangements: Final Report* (October 2020) Recommendation 8; MiCA; GENIUS Act, Pub. L. No. 119-27 (2025).

2.3 The hybrid character: payment instrument and investment-like claim

The hybrid character of stablecoins is their most legally significant feature under Nigerian law. As payment instruments they move value across distributed ledgers with a speed and programmability that engage the CBN's jurisdiction under the Banks and Other Financial Institutions Act 2020 (BOFIA) and the Central Bank of Nigeria Act. As claims

on a pool of reserve assets they raise questions of custody, segregation and priority in insolvency that fall within the SEC's remit under the ISA 2025.[6]

The fiscal machinery supplies telling evidence of how one Nigerian authority has resolved the hybridity. Disposals of cryptocurrencies, security tokens and non-fungible tokens attract withholding at source of 1 per cent of gross proceeds; disposals of stablecoins attract none, gains being measured against the pegged currency and reported by self-assessment. The Service has built one collection architecture for instruments it treats as investments and another for instruments it treats as payment rails, and has placed stablecoins in the second. It has also recognised the limit of the payment characterisation: where a stablecoin offers a yield, that component is assessed as a Category 4 yield-generating token, a recognition that a yield-bearing stablecoin is functionally a different instrument from a bare payment token.[7]

2.4 The money hierarchy: eNaira, cNGN and foreign dollar stablecoins

THE MONEY HIERARCHY

eNaira: a CBN liability. cNGN: a private Nigerian issuer. USDT and USDC: foreign issuers with no Nigerian footprint.

Three digital instruments now circulate in Nigeria with naira or dollar value references, and they are frequently conflated. They occupy different positions in the money hierarchy, carry different risk profiles and are subject to different legal regimes. The eNaira is a direct liability of the CBN and constitutes central bank money in digital form. cNGN is the liability of a private issuer, WrappedCBDC Limited, discharged from segregated reserve assets and enforceable as a contractual claim. USDT and USDC are liabilities of foreign issuers with no Nigerian incorporation or physical footprint.[8]

THE MONEY HIERARCHY

ATTRIBUTE	ENAIRA (CBDC)	CNGN (REGULATED NAIRA STABLECOIN)	USDT AND USDC (FOREIGN STABLECOINS)
Legal nature of liability	Direct liability of the CBN; central bank money	Liability of a private Nigerian issuer; contractual claim discharged from segregated reserves	Liabilities of foreign private issuers (Tether Limited; Circle)
Value reference	Naira	1 cNGN referenced to ₦1	United States dollar
Governing regime	CBN Act; Regulatory Guidelines on the eNaira (2021); PSV 2028	ISA 2025; Amended Rules; Accelerated Regulatory Incubation Programme (approval-in-principle, August 2024)	Reached through Nigerian VASPs; enforceability against issuers untested

6. Banks and Other Financial Institutions Act 2020 (BOFIA); Central Bank of Nigeria Act Cap. C4 Laws of the Federation of Nigeria 2004; ISA 2025, s. 357. See also International Capital Market Association, 'Stablecoins in Capital Markets' (ICMA, January 2026).
7. NRS Guidelines, paras. 5.0, 8.1 and 9.5(1). The SEC's Amended Rules draw no equivalent distinction between yield-bearing and non-yield-bearing stablecoins.
8. Central Bank of Nigeria, *Regulatory Guidelines on the eNaira* (25 October 2021); WrappedCBDC Limited, cNGN Whitepaper; Bala Isah Garba and Company (Chartered Accountants), *Independent Auditor's Report for cNGN Tokens* (June 2026), note 2 to the Reserve Assets Report.

ATTRIBUTE	ENAIRA (CBDC)	CNGN (REGULATED NAIRA STABLECOIN)	USDT AND USDC (FOREIGN STABLECOINS)
Design constraints	Zero interest; balance limits; tiered KYC; permissioned ledger	Pausable transfers, address allowlisting, role-based access control; eight public networks	Issuer-determined; distribution via exchanges and peer-to-peer channels
Tax category (NRS)	Category 6: treated as fiat; no virtual asset tax obligations	Category 2 on the face of the Circular; 1.5% duty on fiat legs; e-money exclusion question unresolved	Category 2; gains measured against the dollar peg, normally nil; 1.5% duty on fiat legs
Hedge against naira depreciation	No	No	Yes; the principal driver of demand identified by the IMF
Supervisory reach	Complete: issuer is the monetary authority	Issuer supervised, but under an administrative programme rather than a statutory stablecoin regime	Channel only: Nigerian-registered intermediaries

TABLE 3 Comparative legal taxonomy of digital money instruments circulating in Nigeria

SCHOLARLY NOTE. The table demonstrates that economic similarity (all three are 'digital money' in popular usage) masks juridical difference. The distinction between the eNaira and cNGN turns on the identity of the obligor, not on economic function, yet it produces materially different fiscal treatment. The distinction between cNGN and foreign stablecoins turns on the reach of Nigerian law: the domestic issuer can be supervised directly, whereas foreign issuers can realistically be reached only through the licensed intermediaries that distribute their tokens.

Sources: Regulatory Guidelines on the eNaira; Amended Rules; SEC ARIP Framework (21 June 2024); NRS Guidelines, paras. 5.0 and 7.2.8; Nigeria Tax Administration Act 2025, Fifth Schedule, para. 7(a) and (b); IMF Selected Issues Paper.

PART 3 OF 9

03 Jurisdictional Categorisation: One Instrument, Three Classifications

3.1 Three classifications

(a) Securities under the Investments and Securities Act 2025

The ISA 2025 is the first comprehensive legislative framework for digital assets in Africa. It expands the statutory concept of securities to include investment instruments issued, recorded or transferred using distributed ledger technology, and section 357 expressly classifies digital and virtual assets as securities subject to SEC oversight. The Act thereby supplies a statutory foundation for the regulation of crypto tokens, utility tokens, asset-referenced tokens, e-money tokens and stablecoins alike.[9]

SECTION 357, ISA 2025

Classifies digital and virtual assets, including stablecoins, as securities within SEC oversight.

BOX 2 · STATUTORY PROVISION IN FOCUS

Investments and Securities Act 2025, section 357

Effect. Digital and virtual assets, including stablecoins, are classified as securities and brought within the regulatory perimeter of the SEC, which may register and regulate virtual asset service providers.

Associated powers under the Act. The Act (a) extends the definition of securities to digital assets; (b) empowers the SEC to set disclosure standards and prudential requirements for issuers and service providers; (c) authorises regulation of virtual asset exchanges and custodians; (d) establishes enforcement mechanisms; and (e) creates a framework for cooperation with foreign regulators.

What the provision does not do. It contains no stablecoin-specific rules on reserve composition, segregation of issuer reserves, trust status, insolvency priority, redemption at par or settlement finality.

SCHOLARLY NOTE. Section 357 settles the question of regulatory competence at the level of primary legislation; it does not settle the private-law character of the holder's entitlement. The FSB's 2025 Thematic Review recorded that the Act establishes a framework for crypto assets including stablecoins while the SEC was reviewing the need for further rulemaking, and assessed Nigeria at Stage 3 of implementation.

(b) A defined sub-species of virtual asset under the Amended Rules

The SEC's Amended Rules, effective 30 June 2025, operate within the statutory classification but refine it. They define the stablecoin as a species of virtual asset (Box 1), create a fiat-referenced sub-category, and regulate stablecoins as securities while recognising their payment utility. This functional approach regulates by economic substance rather than technical form, but leaves the boundary with the CBN's payments jurisdiction unresolved at the level of the Rules themselves.[10]

9. ISA 2025, s. 357. See also Financial Stability Board, 'Thematic Review on FSB Global Regulatory Framework for Crypto-asset Activities' (FSB, October 2025) Annex 2 (FSB Thematic Review).
10. Amended Rules, cls. 3.0 to 8.0.

(c) A payment and settlement token for fiscal purposes

The NRS Guidelines add a third layer. They divide virtual assets into six categories and place stablecoins in Category 2, 'stablecoins and payment tokens', characterised as maintaining a stable value by reference to a fiat currency and functioning as payment and settlement instruments. Security and investment tokens, described as regulated as securities under the ISA 2025, are placed separately in Category 3. The revenue authority has therefore located stablecoins in a payment category expressly distinguished from the category reserved for ISA-regulated securities.[11]

NRS GUIDELINES, PARA. 5.0

Category 2: stablecoins and payment tokens, placed apart from Category 3 security and investment tokens.

Two qualifications are essential. The Guidelines are administrative and cannot amend the ISA 2025; a tax classification determines fiscal treatment and nothing more, and the Guidelines expressly disclaim any determination of whether a token is a security or whether a platform requires SEC authorisation. Nor should the divergence be overstated: the Service was allocating tax treatment, not adjudicating the regulatory perimeter.

3.2 Reading the divergence

The fact nonetheless remains that the three most recent Nigerian instruments to address stablecoins classify them in three materially different ways, and that each classification reflects the functional preoccupation of the body doing the classifying. That is among the clearest available demonstrations that stablecoins are not comfortably accommodated within any single existing category of Nigerian financial law. Figure 1 depicts the divergence and the executive overlay that now allocates supervisory responsibility across it.

11. NRS Guidelines, para. 5.0.

ONE INSTRUMENT, THREE CLASSIFICATIONS

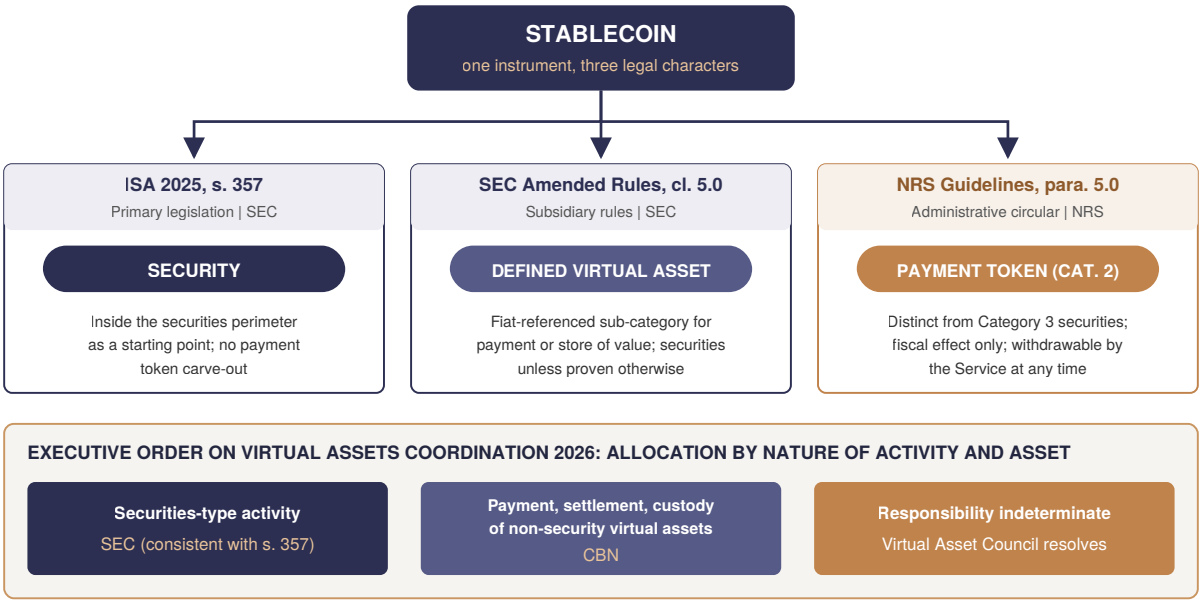


FIGURE 1 Definitional divergence and the executive allocation principle

SCHOLARLY NOTE. The three upper panels represent classifications made by instruments of descending normative rank: an Act, subsidiary rules and an administrative circular. The lower panel represents an executive instrument that does not reclassify anything; it allocates supervisory responsibility according to activity. The taxonomy in the NRS Guidelines tracks that functional allocation more closely than it tracks the statutory classification in section 357. The practical risk is that apparent jurisdictional settlement at the supervisory level conceals a continuing definitional divergence beneath it, which may surface in litigation over licensing, enforcement or the characterisation of a token in insolvency.

Sources: ISA 2025, s. 357; Amended Rules, cl. 5.0; NRS Guidelines, para. 5.0; Executive Order (17 July 2026).

3.3 The inverse perimeter problem

Nigeria's statutory starting point produces a distinctive analytical difficulty that becomes acute as products are built on stablecoins. In the European Union and the United States, a payment or e-money token is defined by statute and placed outside the securities regime, so that yield-bearing constructions built on top must be analysed separately. Nigeria has no such carve-out: a Nigerian stablecoin begins inside the securities perimeter rather than outside it.

BOX 3 · DOCTRINAL PROBLEM

The inverse perimeter problem

EU and US question. When does a payment instrument become a security?

Nigerian question. When is a supervised digital asset, presumptively a security, functioning purely as a means of payment, so that it ought to be regulated for reserve adequacy, redemption and operational resilience rather than for disclosure and offering requirements designed for investment products?

Current technique. The SEC has managed the question through conditions attached to individual authorisations. That expedient works at present scale. It will not remain workable where one instrument is simultaneously a retail payment token, the cash leg of a tokenised fund and the naira side of an on-chain foreign exchange pair.

SCHOLARLY NOTE. The problem is already concrete. Naira-denominated tokenised money market fund products settled in cNGN have emerged with licensed fund managers in the structure, and the cNGN reserve is itself held predominantly in units of SEC-registered collective investment schemes. Whether that circularity is a strength, keeping reserve assets within a supervised domestic perimeter, or a concentration to be monitored, is a question the framework has not yet been asked to consider. Only primary legislation that defines a payment-stablecoin category, and states its relationship to section 357, can answer the regime-selection question with the durability the market now requires.[12]

12. ISA 2025, s. 357; MiCA; GENIUS Act, Pub. L. No. 119-27 (2025).

PART 4 OF 9

04 The Property Status of Stablecoins

Regulatory classification tells a supervisor what it may regulate. It does not tell a court what a holder owns, whether that thing survives the insolvency of its issuer, or who takes it on death, divorce or execution. On those questions Nigerian law is largely silent.

4.1 Three layers of entitlement

The legal nature of a stablecoin holder's position varies with the terms of issuance, the structure of reserve holdings and the redemption mechanism specified in the governing documentation. Analytically, three layers must be separated. The first is the token itself: a digital record, transferable on a ledger, which the holder controls. The second is the personal claim against the issuer, which in the reserve-backed model is a right to redeem. The third is any interest the holder may have in the reserve assets, which determines whether that claim is merely personal or is supported by a proprietary right enforceable against the issuer's other creditors.

Under Nigerian common law principles, the enforceability of claims at each layer raises questions of trust law, insolvency law and property law that have not yet been fully tested in Nigerian courts. Nigeria's trust law, though derived from English common law, has not been comprehensively updated to address digital asset structures, and there is no comprehensive statutory trust framework comparable to that available in English law. The ISA 2025 supplies a foundation for statutory protection, but specific provisions addressing segregation, trust status and insolvency priority of stablecoin reserves remain underdeveloped.[13]

NO SETTLED AUTHORITY

The trust, insolvency and property questions raised by stablecoin reserves have not yet been fully tested in Nigerian courts.

4.2 The conditions of legal certainty

BOX 4 · INTERNATIONAL STANDARD

Three conditions of legal certainty for a stablecoin holder

1. **Enforceability.** The holder must have a clear and enforceable claim against the issuer or the reserve assets.
2. **Insolvency resilience.** The claim must survive the insolvency of the issuer.
3. **Prompt par redemption.** The claim must be capable of prompt redemption at par value; for tokens referencing a single fiat currency, redemption should be at par into that currency.

13. ISA 2025, s. 357; FSB Thematic Review, Table 5 (Nigeria entry), observing that Nigeria's framework would benefit from more explicit articulation of these protections.

Nigerian assessment. Condition 1 is met contractually in the regulated naira segment. Conditions 2 and 3 are met, if at all, only by issuer practice: neither is guaranteed by statute.

SCHOLARLY NOTE. The conditions derive from the FSB's recommendations on global stablecoin arrangements, which call on authorities to require issuers to guarantee timely redemption. The FSB's 2025 review also found broad cross-jurisdictional alignment on eligible reserve assets, emphasising bank deposits, government bonds and, in some cases, money market funds. Legal certainty is logically prior to every other element of stablecoin regulation: prudential rules on reserve quality are of limited value if the holder cannot reach the reserve when the issuer fails.[14]

4.3 Control features and the bearer-instrument objection

A recurring objection in the regulatory literature is that stablecoins are bearer instruments that escape any supervisory perimeter once issued. The architecture of Nigeria's regulated naira token tells against that objection. The cNGN contract, deployed across eight networks, is compatible with the ERC-20 standard on EVM networks and incorporates pausable transfers, address allowlisting and role-based access control at the contract layer; on networks employing federated Byzantine agreement with a known validator set, comparable authorisation and asset-freezing controls exist at the protocol layer.[15]

These features matter to property analysis as well as to supervision. A token whose transfer can be restricted, paused or frozen by an administrative role is not a pure bearer asset in which possession is conclusive of title. Control is shared, by design, between the holder and the issuer's administrative keys. Any Nigerian characterisation of stablecoins as property must therefore accommodate the fact that the issuer retains technical powers over the thing owned, and must determine whether and when the exercise of those powers is consistent with the holder's proprietary rights.

4.4 Proprietary characterisation: the comparative signal

The most instructive recent comparator on this point is the Russian Federation. The Law on Digital Currency and Digital Rights, adopted by the State Duma in second and third readings on 21 July 2026 and awaiting Federation Council approval and presidential assent at the date to which the law is stated here, recognises digital currency as property under Russian civil law rather than as money, and confers judicial protection on holders irrespective of whether the holding was previously declared.[16]

RUSSIAN FEDERATION

Bill No. 1194918-8, adopted by the State Duma on 21 July 2026, recognises digital currency as property.

14. Financial Stability Board, *Regulation, Supervision and Oversight of Global Stablecoin Arrangements: Final Report* (FSB, October 2020) Recommendation 8; FSB Thematic Review, 45 to 52.
15. WrappedCBDC Limited, cNGN Whitepaper; Bantu Blockchain Foundation, 'For Regulators'.
16. Law of the Russian Federation 'On Digital Currency and Digital Rights' (Bill No. 1194918-8), adopted by the State Duma in second and third readings, 21 July 2026; Bank of Russia, 'Russia Introduces Cryptocurrency Regulation' (Press Release, 21 July 2026).

Russia's proprietary characterisation and Nigeria's securities characterisation sit at opposite ends of the taxonomic range, and they produce different consequences. Proprietary status delivers clarity on insolvency, inheritance and matrimonial division that Nigerian law still lacks for digital assets. Securities status delivers a disclosure and intermediary-conduct regime that the Russian law supplies separately through licensing. Neither is complete alone. Nigeria's framework would be strengthened by a proprietary characterisation adopted alongside, rather than instead of, the securities classification it already has.

> *Proprietary status and securities status answer different questions. Neither is complete alone.*

4.5 Adjudicative considerations

BOX 5 · NOTE FOR THE BENCH

Regulatory classification and private-law characterisation

1. **Separate the questions.** Whether a token is a security for the purposes of section 357 is a question of regulatory competence. Whether a holder has a proprietary interest in the token or the reserve is a question of private and insolvency law. An affirmative answer to the first does not determine the second.
2. **Respect the hierarchy of norms.** A tax circular's classification governs fiscal treatment only, and yields to primary legislation where they diverge. An executive order coordinates existing statutory powers and cannot create new ones or override the ISA 2025 or BOFIA.
3. **Read the documents.** In the absence of statutory redemption and trust provisions, the holder's rights are found in the terms of issuance, the reserve arrangements and the redemption policy. Attestation reports evidence the state of the reserve but do not themselves confer rights.
4. **Mind the evidential presumption.** Under the Amended Rules, the burden of disproving securities characterisation lies on the operator, issuer or sponsor.
5. **Recognise the absence of settled authority.** The trust, insolvency and property questions raised by stablecoin reserves have not yet been fully tested in Nigerian courts. Early decisions will carry disproportionate weight in shaping market structure.

SCHOLARLY NOTE. These considerations are offered as analytical guideposts, not as statements of settled law. They follow from the normative rank of the instruments examined in this Bulletin and from the absence of statutory provision on the matters identified. Where a court is invited to fill a statutory gap, the comparative models examined in Part 5 (statutory trust, statutory segregation and statutory redemption rights) indicate the protections that legislatures elsewhere have judged necessary, and may assist in construing contractual and fiduciary arrangements consistently with the holder's reasonable expectations.

PART 5 OF 9

05 Custody, Segregation and Insolvency Protection of Reserve Assets

5.1 The reserve and the custody path

The credibility of a fiat-referenced stablecoin rests on four things: the composition of its reserve, the segregation of that reserve, its verifiability, and the enforceability of the holder's claim against it. In the regulated naira segment the first three can be examined directly from published documents. The fourth cannot, and that asymmetry is the central concern of this Part.

Figure 2 traces the legal path of value in the reserve-backed model, using the structure of Nigeria's regulated naira token as the reference case. Tokens are minted against naira received by the issuer and burned on redemption, so that circulation corresponds to the naira value held in reserve. Reserve assets are held in segregated accounts with regulated financial institutions on behalf of holders, and are examined monthly by an independent firm of chartered accountants.[17]

FOUR FOUNDATIONS

Composition, segregation, verifiability and the enforceability of the holder's claim. Only the last cannot be read from published documents.

5.2 Segregation under the Amended Rules: custodians, not issuers

BOX 6 · REGULATORY PROVISION

SEC Amended Rules, cl. 7.0: custody and segregation

Duty. Digital Asset Custodians must ensure that all clients' virtual assets are properly segregated from the custodian's own assets and safeguarded from conversion or inappropriate use.

Related obligations. Strict segregation of client assets from a VASP's own assets; a minimum capital of ₦2 billion for Digital Asset Exchanges and Digital Asset Custodians.

Limitation. The duty is framed for custodians holding clients' virtual assets. It does not in terms extend to the fiat reserve assets that an issuer holds to back its tokens.

SCHOLARLY NOTE. The custodial segregation duty addresses the risk that an intermediary misappropriates or commingles assets it holds for clients. The risk in the issuer context is structurally different: the holder has parted with fiat in exchange for a token, and the reserve is legally held by the issuer. A comprehensive framework would extend equivalent segregation and priority protection to issuer reserves, whether through amendment of the ISA 2025, the Virtual Asset Service Providers Regulation Bill 2026 or regulations addressing the treatment of stablecoin reserves in insolvency proceedings.[18]

17. WrappedCBDC Limited, cNGN Whitepaper; Bala Isah Garba and Company (Chartered Accountants), *Independent Auditor's Report for cNGN Tokens* (June 2026) (cNGN Attestation), Tables 1 and 2 and notes 4 and 10 to the Reserve Assets Report.
18. Amended Rules, cl. 7.0 (custody requirements) and cls. 3.0 to 8.0; FSB Thematic Review, Table 5 (Nigeria entry).

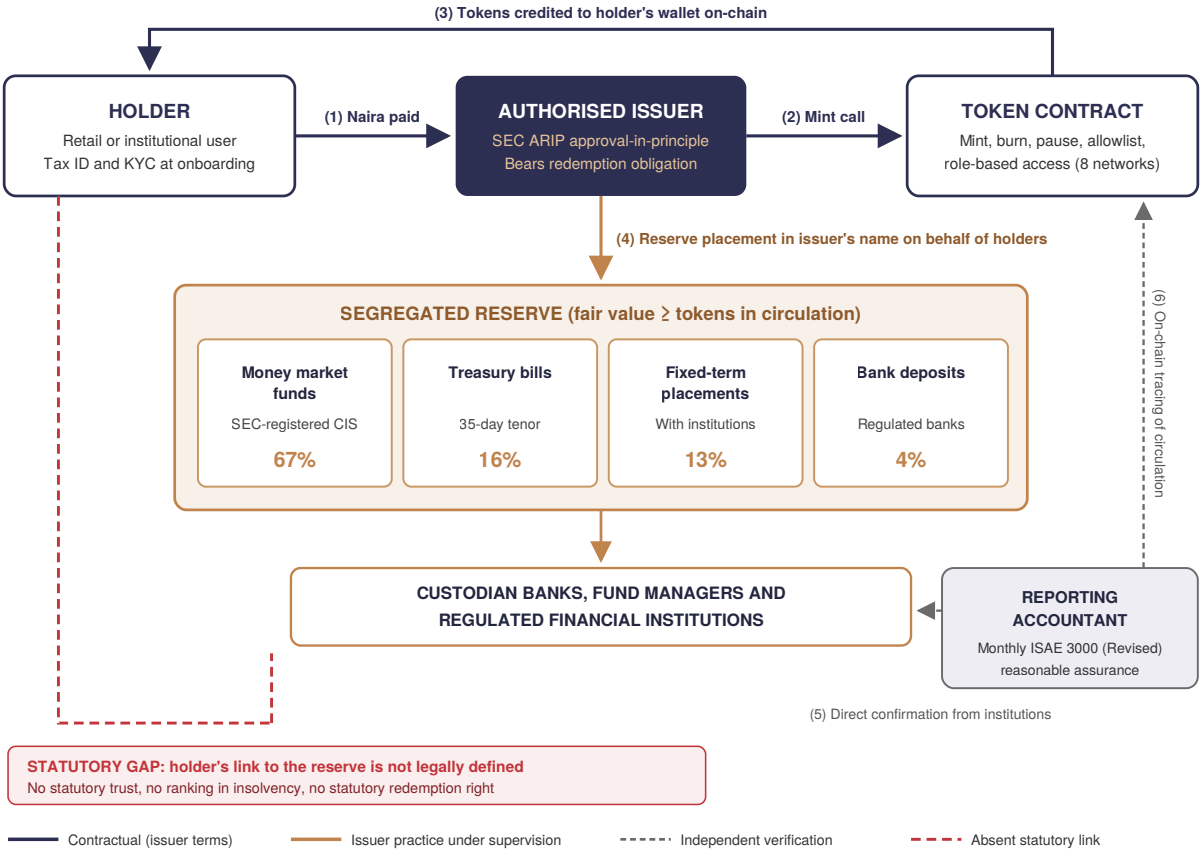


FIGURE 2 Issuance and reserve custody path in the reserve-backed model: user, issuer, custodians and token contract

SCHOLARLY NOTE. Every solid link in the figure rests on contract or on issuer practice undertaken within a supervisory programme; none rests on a statutory entitlement of the holder. The reporting accountant's engagement is a reasonable assurance engagement producing a positive-form conclusion that reserve assets are equal to or greater than tokens in circulation, which is more demanding than the limited assurance or agreed-upon-procedures engagements more commonly encountered internationally. Verification, however, establishes the existence of assets; it does not establish that holders would be entitled to them ahead of the issuer's other creditors. That is the function of the absent statutory link shown in red.

Sources: cNGN Attestation (reporting as at 30 June 2026), Tables 1 to 3 and notes 2, 4 to 6 and 10; Amended Rules; SEC ARIP Framework.

5.3 Reserve composition as issuer discretion

As at 30 June 2026 the fair value of the regulated naira token's reserve stood at ₦2,777,009,541.66 against tokens in circulation of ₦2,624,599,388.08, an excess of ₦152,410,153.58, or approximately 5.8 per cent above the outstanding liability. Tokens in circulation are stated exclusive of frozen and test tokens.[19] Table 4 sets out the composition.

RESERVE EXCESS

₦152,410,153.58, approximately 5.8 per cent above tokens in circulation.

RESERVE COMPOSITION · 30 JUNE 2026

CATEGORY	DESCRIPTION	AMOUNT (₦)	%	WEIGHT
Money market funds	SEC-registered open-end collective investment schemes	1,860,786,148.33	67	

19. cNGN Attestation, Tables 1 and 2 and notes 4 and 10.

CATEGORY	DESCRIPTION	AMOUNT (₦)	%	WEIGHT
Treasury bills	Nigerian Treasury bills, 35-day tenor at reporting date	442,298,171.79	16	
Fixed-term investments	Short-term placements with financial institutions	367,136,067.91	13	
Bank deposits	Cash and cash equivalents with regulated banks	106,789,153.63	4	
Total reserve	**Against tokens in circulation of ₦2,624,599,388.08**	**2,777,009,541.66**	**100**	**Excess ≈ 5.8%**

TABLE 4 Reserve composition of Nigeria's regulated naira stablecoin at 30 June 2026

SCHOLARLY NOTE. The composition is short-dated, liquid and diversified, and it sits within the range that other major jurisdictions have legislated. The decisive legal point, however, is that no Nigerian rule presently prescribes what a stablecoin reserve may consist of. The composition is an issuer determination, disclosed voluntarily and verified monthly. It may be revised at the issuer's discretion, and Nigerian law is not presently positioned to constrain either the direction or the adequacy of any revision. A supervisory framework that depends on the continuation of current practice is weaker than one that requires it.

Source: cNGN Attestation (as at 30 June 2026, 9:45 pm West African Time), notes 5 and 6 and Tables 4 and 5.

Two features of the composition bear on insolvency analysis. The first is duration: the reserve is short-dated and liquid, not maturity-transformed, so that a redemption run would not in principle force fire-sales of long-dated assets. The second is concentration: the reserve is weighted toward regulated money market funds and federal government instruments rather than commercial bank deposits, which reduces exposure to the failure of any single deposit-taking institution, a consideration of particular force in a market where bank concentration is a live supervisory concern. Both features are, again, facts about present practice rather than properties of the framework.

> *A supervisory framework that depends on the continuation of current practice is weaker than one that requires it.*

BOX 7 · QUESTION FOR DEPOSIT INSURANCE AND PRUDENTIAL SUPERVISORS

Two distinct failure events, one unaddressed allocation

A reserve-backed stablecoin exposes holders to two different insolvencies: the failure of the **issuer**, and the failure of an **institution holding reserve assets** in the issuer's name on behalf of holders. None of the Nigerian instruments examined in this Bulletin addresses how deposit balances and fixed-term placements forming part of a stablecoin reserve are to be treated upon the failure of the depository institution, or whether holders, the issuer or neither would be regarded as the protected party.

SCHOLARLY NOTE. The point is raised as a matter warranting coordinated attention by the Nigeria Deposit Insurance Corporation, the CBN and the SEC, rather than as a statement of the existing position under deposit insurance law, which this Bulletin does not examine. Comparative practice shows that the question is tractable once asked: the Bank of England's approach prescribes a split between short-term gilts and unremunerated central bank deposits, and MiCA sets minimum deposit proportions, each reflecting a judgment about the trade-off between deposit concentration and instrument diversification. As Nigerian reserve holdings grow, the allocation of depository-failure risk should be settled expressly.

5.4 Trust assets or general estate?

The same gap appears more sharply on redemption. The reserve attestation records the tokens as refund liabilities repayable on demand through the issuer's redemption process.[20] That is a contractual obligation, enforceable as such. It is not a statutory right. There is no Nigerian equivalent to the redemption entitlement conferred by Article 39 of MiCA, no statutory ranking of holders against the reserve on the issuer's insolvency, and no statutory trust or equivalent segregation device of the kind proposed by the Bank of England for systemic sterling stablecoins. The reserve is segregated in practice, and the attestation confirms that it is. Whether that segregation would survive an insolvency, and in whose favour, is a question Nigerian law does not presently answer. Figure 3 maps the alternatives.

> *Whether that segregation would survive an insolvency, and in whose favour, is a question Nigerian law does not presently answer.*

MICA, ARTICLE 39

Confers a redemption entitlement at par for e-money tokens. Nigerian law has no equivalent.

20. cNGN Attestation, note 2 to the Reserve Assets Report.

REDEMPTION AND THE INSOLVENCY FORK

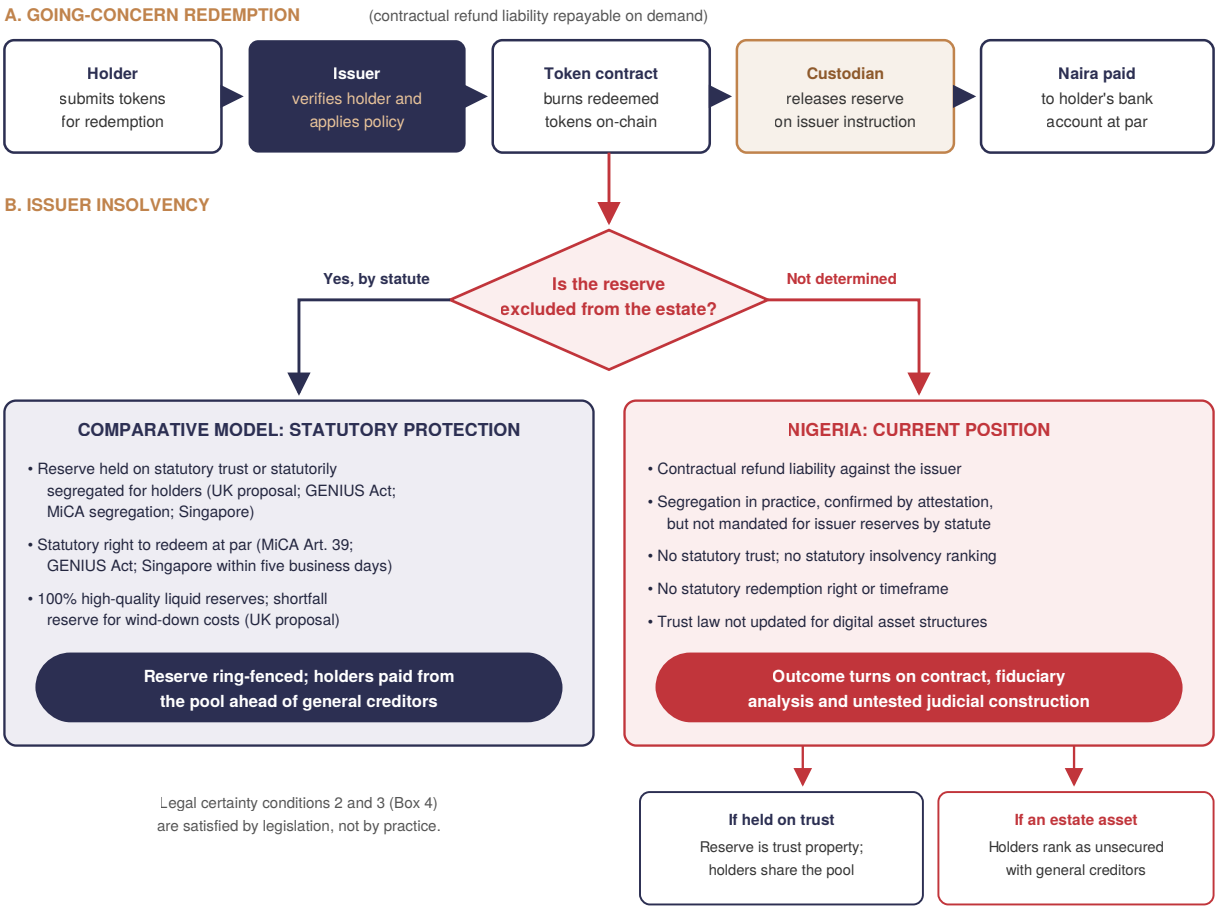


FIGURE 3 Redemption rights in a going concern and the insolvency fork: trust property or general estate

SCHOLARLY NOTE. Panel A is the ordinary redemption path; it functions today, and the contraction of the naira token's circulation between reporting dates (from ₦2.62 billion on 30 June 2026 to approximately ₦2.43 billion on 27 July 2026, reflecting net redemptions) is some evidence that it does. Panel B depicts the question that matters when the issuer fails. Where the reserve is excluded from the estate by statute, the holder's position is proprietary and the pool is applied for holders. Where it is not, the outcome depends on whether a court construes the contractual and account arrangements as creating a trust, and absent such a finding the holder is exposed to ranking alongside the issuer's general unsecured creditors. The figure does not predict how a Nigerian court would decide; it shows why the answer should not be left to adjudication after the event.

Sources: cNGN Attestation, note 2; WrappedCBDC transparency data (27 July 2026); MiCA, Art. 39; GENIUS Act; Bank of England, 'Proposed Regulatory Regime for Sterling-Denominated Systemic Stablecoins' (November 2025); Monetary Authority of Singapore, Response to Public Consultation P009-2022 (15 August 2023).

The consequence can be stated precisely. Nigeria has a supervised stablecoin issuer meeting reserve, attestation and disclosure standards that in several respects exceed what its own regulator requires, arrived at through voluntary adoption under an administrative incubation programme, and in the absence of the statutory scaffolding that would make those standards binding on the issuer and enforceable by the holders they protect. Where the issuer's practice and the holder's protection coincide only because the issuer has chosen to make them do so, the protection is contingent on that choice.

5.5 Comparative prudential standards

Major jurisdictions have converged on four propositions: full backing with high-quality liquid assets, segregation of reserves from the issuer's own assets, redemption at par as a statutory right, and regular independent verification. Table 5 locates Nigeria against those benchmarks.

COMPARATIVE PRUDENTIAL STANDARDS

JURISDICTION	CLASSIFICATION AND SUPERVISOR	RESERVE REQUIREMENTS	SEGREGATION, TRUST AND INSOLVENCY	REDEMPTION AND OTHER FEATURES
European Union (MiCA)	Asset-referenced tokens and e-money tokens; authorisation by national competent authorities	Minimum deposits of 30% (non-significant) and 60% (significant tokens); composition and custody rules	Reserve segregated from issuer's own assets	Par redemption for e-money tokens (Art. 39); no interest to holders; audit and disclosure; restrictions on algorithmic stabilisation
United States (GENIUS Act 2025)	Payment stablecoins; OCC for bank issuers; state supervisors under federal standards for non-banks	100% backing with high-quality liquid assets; enumerated asset categories	Mandatory segregation of reserve assets	Par redemption; monthly attestations and annual audits; limits on commercial-entity affiliation
United Kingdom	Dual regulators: Bank of England (systemic, prudential) and FCA (conduct)	1:1 backing; June 2026 policy statement prescribes split between short-term gilts and unremunerated central bank deposits	Backing assets on statutory trust for coinholders; shortfall reserve; UK subsidiary for non-UK sterling issuers	Functional equivalence: money-like tokens meet standards equivalent to commercial bank money
Singapore	Payment Services Act framework; Monetary Authority of Singapore	100% reserve backing; daily reserve management	Strict segregation	Par redemption within five business days; monthly attestations; independent audits
Hong Kong	Stablecoins Ordinance 2025: licensing of fiat-referenced issuers	Full backing	Strict segregation	Retail offerings confined to regulated stablecoins; sandbox
Russian Federation (adopted 2026 law)	Digital currency as property; Bank of Russia licenses five intermediary categories	Intermediary capital reported at 15 million rubles	Custody through licensed digital repositories	**No statutory redemption right at par**; retail cap of 300,000 rubles per intermediary per year; foreign stablecoins expressly covered
Nigeria	Securities (ISA 2025, s. 357); SEC; CBN for non-security payment, settlement and custody (Executive Order)	**No prescribed composition**; ₦2bn capital for exchanges and custodians	**Custodian segregation only; no statutory trust or ranking for issuer reserves**	**No statutory redemption right**; no explicit algorithmic restriction; transactions in naira; ARIP supervision

TABLE 5 Comparative legal taxonomy of reserve, segregation, redemption and supervisory standards

SCHOLARLY NOTE. The FSB's 2025 review found the EU framework fully in force and classified Singapore and Hong Kong at Stage 4 or 5, against Nigeria's Stage 3. The comparison is not an argument for transplantation: Singapore and Hong Kong operate with deeper market infrastructure and regulatory capacity, and Nigeria's challenge is adaptation to limited supervisory capacity, less developed trust law and the acute risk of driving activity offshore. The Russian row is included as a negative benchmark on redemption: a regime that licenses intermediaries intensively while leaving the holder's claim against the issuer unaddressed regulates the wrong risk, which is precisely the risk that materialises in a de-pegging event. The Russian capital figure derives from press reporting of the adopted text.

Sources: MiCA; GENIUS Act, Pub. L. No. 119-27 (2025); Bank of England Consultation Paper (November 2025); MAS P009-2022; Hong Kong Stablecoins Ordinance (2025); Bill No. 1194918-8 (Russian Federation); ISA 2025; Amended Rules; FSB Thematic Review.

PART 6 OF 9

06 Nigeria's Regulatory Architecture

6.1 Map of instruments

The Nigerian framework is best understood as layered instruments of differing normative rank, issued by different authorities pursuing different functional objectives. Table 6 maps the instruments bearing on stablecoins, their legal character and the durability of the protection each can offer.

INSTRUMENTS BY NORMATIVE RANK

INSTRUMENT	DATE	LEGAL CHARACTER	TREATMENT OF STABLECOINS	DURABILITY AND LIMITS
Investments and Securities Act 2025, s. 357	2025	Act of the National Assembly	Digital and virtual assets, including stablecoins, are securities within SEC oversight	Durable; silent on reserves, redemption, trust, insolvency and finality
SEC Amended Rules on Digital Assets	Effective 30 June 2025	Subsidiary rules	Definition and fiat-referenced sub-category; VASP registration; custodian segregation	Amendable by the Commission; segregation confined to custodians
SEC ARIP Framework	21 June 2024	Administrative programme	Supervised incubation; approval-in-principle not exceeding 12 months	Conditions attach per authorisation; no statutory stablecoin regime
CBN Circular BSD/DIR/PUB/LAB/014/001	5 February 2021	Regulatory circular	Financial institutions directed not to deal in or facilitate cryptocurrency payments	Superseded in effect by the December 2023 banking guidelines
CBN Guidelines on Bank Accounts for VASPs	December 2023	Regulatory guidelines	Regulated banking access for VASPs meeting compliance requirements	Pragmatic reversal of prohibition
Regulatory Guidelines on the eNaira	25 October 2021	Regulatory guidelines	CBDC framework; potential settlement layer for private tokens	Adoption acknowledged as slow
Nigeria Payments System Vision 2028	1 June 2026	Strategic policy blueprint	Stablecoin products brought within an expanded CBN sandbox	Requires operationalisation through regulation
Executive Order on Virtual Assets Coordination	17 July 2026	Executive order (CFRN, s. 5)	Allocation of oversight by nature of activity and asset	Cannot create powers, override statute or bind future administrations as legislation would
NRS Guidelines (Circular No. 2026/21)	31 July 2026	Administrative circular	Category 2 payment and settlement token	Withdrawable or amendable by the Service at any time; yields to statute
VASP Regulation Bill 2026 (SB 956)	Second reading 9 June 2026	Bill before the Senate	Comprehensive licensing, transparency and compliance for VASPs	Pending; the natural vehicle for durable holder protections

TABLE 6 Nigerian instruments bearing on stablecoins: legal character, treatment and durability

SCHOLARLY NOTE. The table exposes an inversion of the ordinary regulatory sequence. The most detailed operative provisions affecting stablecoins (fiscal classification, computation and collection) rest on the most fragile instrument, an administrative circular, while the most durable instrument, the Act, is the least specific. Holder protections that depend on subsidiary or administrative instruments can be altered without parliamentary process, which is why the reform agenda in Part 8 directs core protections to primary legislation.

Sources: as listed in the table; see also the Annex, Table of Legislation and Instruments.

6.2 The capital market regime

The Amended Rules constitute the most comprehensive regulatory framework for stablecoins in Africa. Building on the ISA 2025, they introduce definitions, registration requirements, operational standards and compliance obligations for stablecoin issuers and service providers. They also establish a Digital Assets Intermediary licence covering execution and transmission of orders and investment advice on virtual assets, and they regulate promotion by social media influencers.[21] Table 7 sets out the principal obligations.

THE CAPITAL MARKET REGIME · AMENDED RULES

OBLIGATION	CONTENT	LEGAL SIGNIFICANCE FOR STABLECOINS
Registration	Mandatory registration as a VASP before conducting any stablecoin-related activity	Establishes the supervisory point of control over domestic issuers and intermediaries
Capital	Minimum ₦2 billion for Digital Asset Exchanges and Digital Asset Custodians	High barrier to entry; tiered thresholds recommended for non-systemic issuers
Governance	Minimum five directors; 60% of Nigerian origin; prior SEC approval of board appointments	Supports accountability of the obligor on the redemption claim
Client asset segregation	Strict separation of client assets from the VASP's own assets	Protects custodial clients; does not in terms reach issuer reserves
AML/CFT	Customer due diligence, transaction monitoring, suspicious activity reporting	Aligns with the Money Laundering (Prevention and Prohibition) Act 2022 and FATF standards
Naira denomination	Transaction records denominated in naira; rates quoted on the CBN official exchange rate for foreign-currency assets	Monetary control measure; enforcement difficult where official and parallel rates diverge
Promotion	Prior SEC approval of advertisements; no-objection authorisation for influencers; duty to verify licensing of promoted firms	Retail protection; enforcement in decentralised social media remains challenging
Privacy coins	Prohibition of anonymity-enhanced cryptocurrencies	Implements FATF commitments
Retail investment limits	Maximum ₦200,000 per issuer; total not exceeding ₦2 million in 12 months	Proportionate approach for tokenised offerings; subject to periodic review

TABLE 7 Principal obligations under the SEC Amended Rules relevant to stablecoin activity

21. Securities and Exchange Commission, Exposure of Amendments to the Rules on Digital Assets Issuance, Offering Platform, Exchange and Custody (16 December 2024, effective 30 June 2025); Amended Rules, cls. 3.0 to 8.0.

SCHOLARLY NOTE. The obligations are predominantly conduct, governance and integrity measures. Of the three conditions of legal certainty identified in Box 4, the Amended Rules address none directly for issuer reserves. That is not a criticism of the Commission's rulemaking, which operates within the powers the Act confers, but it confirms that the protections holders most require are of a character more naturally supplied by primary legislation.

Sources: Amended Rules, cls. 3.0 to 8.0; SEC Circular No. 26-1 on revised minimum capital (2026); IMF Selected Issues Paper.

6.3 Incubation without legislation

ARIP

Approval-in-principle valid for no more than twelve calendar months, followed by full registration.

The Accelerated Regulatory Incubation Programme (ARIP), introduced in June 2024 and incorporated into the Amended Rules, is Nigeria's regulatory sandbox for digital asset service providers. Qualified entities receive an approval-in-principle valid for no more than twelve calendar months, after which they must transition to full registration. Participation is open to token issuers, exchanges and other platforms incorporated in Nigeria with a local office and a resident chief executive.[22]

ARIP is the mechanism by which Nigeria acquired a supervised stablecoin issuer without enacting stablecoin legislation. WrappedCBDC Limited was admitted in August 2024, and its naira token became available to the public through licensed exchanges from February 2025.[23] The significance is double-edged. The sequencing advantage is real: Nigeria is ahead of Ghana, the BCEAO zone and South Africa on the specific question whether a jurisdiction can supervise local-currency stablecoin issuance rather than merely regulating platforms. But the supervision operates on an administrative basis, and an incubation approval cannot allocate property rights, rank creditors or confer statutory redemption entitlements.

> *An incubation approval cannot allocate property rights, rank creditors or confer statutory redemption entitlements.*

6.4 Central banking and payments law

The CBN's posture has moved from prohibition to integration. The February 2021 circular directed financial institutions not to hold, trade or transact in cryptocurrency or facilitate payments for exchanges. The December 2023 Guidelines on the Operations of Bank Accounts for Virtual Assets Service Providers softened that position, permitting banking services for VASPs meeting specified compliance standards. The CBN has consistently maintained that cryptocurrencies and stablecoins are not legal tender under the CBN Act, and the IMF has observed that pay-

22. Securities and Exchange Commission, 'Framework on Accelerated Regulatory Incubation Program (ARIP) for the Onboarding of Virtual Assets Service Providers' (21 June 2024).
23. Securities and Exchange Commission, press release on the Accelerated Regulatory Incubation Programme (29 August 2024); Technext, 'cNGN: Quidax Becomes Second Crypto Exchange to List Naira Stablecoin' (19 March 2025).

ment system regulations prohibit the use of crypto assets to pay for goods and services, while noting that such use in the informal sector is difficult to prevent.[24]

The eNaira, launched in October 2021 as Africa's first central bank digital currency, was designed with zero interest and balance limits to confine it to retail payments rather than store-of-value use. The PSV 2028, launched on 1 June 2026, acknowledges that adoption has been slow and proposes repositioning the eNaira for government-to-person payments, remittances and trade settlement. Of greater significance for stablecoins, it commits the CBN to expand its regulatory sandbox to cross-border eNaira and stablecoin products, including trade finance tokens, programmable remittance flows and tokenised letters of credit, and to pilot eNaira and SWIFT corridor integration, with the UK-Nigeria remittance corridor given as an example, by the third quarter of 2026.[25] This marks a transition from implicit tolerance to explicit strategic integration, and it places the CBN's payments jurisdiction squarely in contact with the SEC's securities jurisdiction.

6.5 The Executive Order on Virtual Assets Coordination 2026

On 17 July 2026 the President signed the Executive Order on Virtual Assets Coordination pursuant to section 5 of the Constitution. It took immediate effect and is the first executive-level instrument to address the institutional fragmentation across the SEC, the CBN, the NRS, the Nigerian Financial Intelligence Unit (NFIU) and the Office of the National Security Adviser (ONSA). Figure 4 depicts its architecture.[26]

CFRN, SECTION 5

The constitutional source of the Executive Order. The Order coordinates existing powers; it does not legislate.

24. Central Bank of Nigeria, Circular BSD/DIR/PUB/LAB/014/001 (5 February 2021); CBN, 'Guidelines on the Operations of Bank Accounts for Virtual Assets Service Providers' (December 2023); IMF Selected Issues Paper, 5 and 8.
25. PSV 2028, 89 to 102; Regulatory Guidelines on the eNaira.
26. Executive Order; Constitution of the Federal Republic of Nigeria 1999 (as amended) (CFRN), s. 5; The State House, Abuja, 'President Tinubu Signs Executive Order on Virtual Assets, Establishes Council to Harmonise Regulation of Digital Economy' (Press Release, 18 July 2026).

EXECUTIVE ORDER 2026 · INSTITUTIONAL ARCHITECTURE

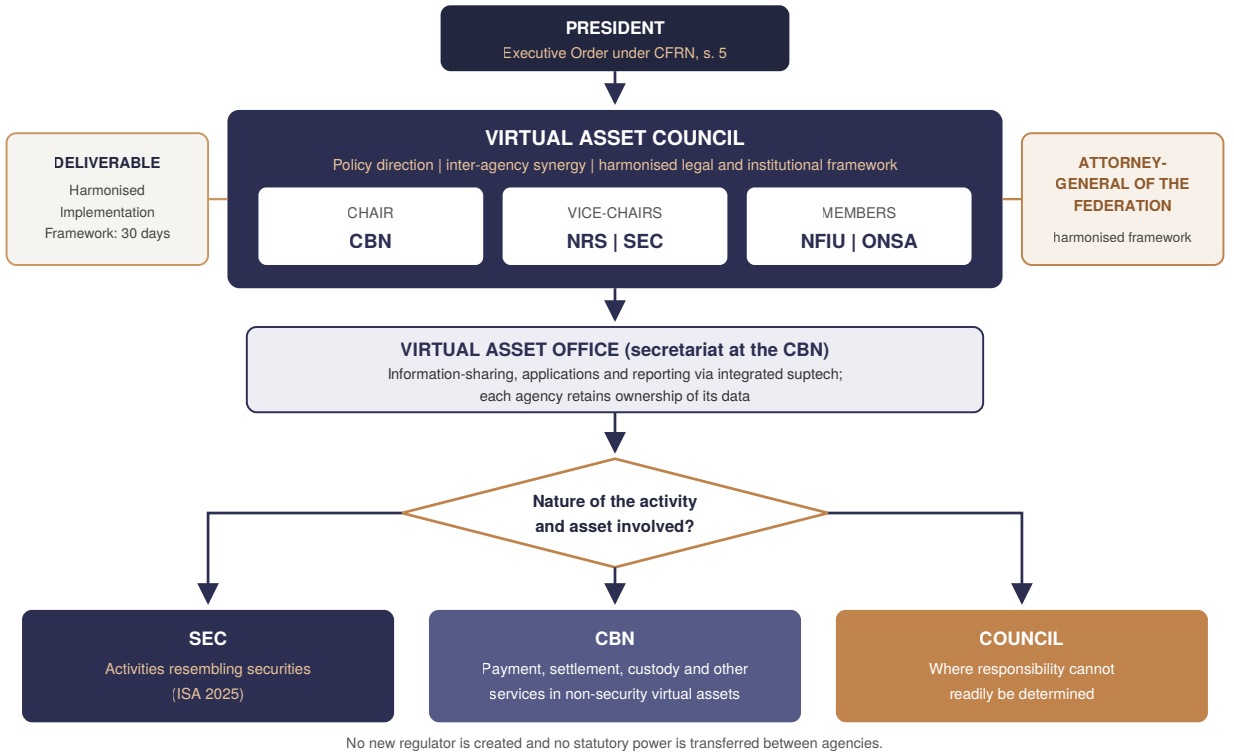


FIGURE 4 Institutional architecture and allocation principle under the Executive Order 2026

SCHOLARLY NOTE. The Order supplies the clearest articulation yet of the SEC and CBN boundary, and its allocation principle (registration and oversight follow the nature of the activity and the asset) is conceptually aligned with the functional approach of the FSB. Its limits are structural. The Council coordinates; it does not legislate. The allocation rests on executive authority and should be codified in primary legislation for durability beyond the current administration. The Order also directed the NRS to issue a dedicated tax policy, which it did within fourteen days; the Guidelines, however, rest on the Service's own statutory powers rather than on the Order, and at least two of their features sit in tension with CBN commitments under the PSV 2028, which suggests that the harmonising function had not yet operated on the fiscal instrument.

Sources: Executive Order (17 July 2026); CFRN, s. 5; NRS Guidelines, para. 3.0.

BOX 8 · CONSTITUTIONAL AND STATUTORY LIMITS

What an executive order can and cannot do

- **Can:** coordinate the exercise of existing statutory powers; establish a standing inter-agency council and secretariat; allocate supervisory attention by reference to activity; direct agencies to produce policy within their competence.
- **Cannot:** create new regulatory powers; override the ISA 2025 or BOFIA; bind a future administration as primary legislation would; create a new regulator or transfer powers between agencies (which the Order expressly disclaims).
- **Therefore outstanding:** reserve trust status and insolvency priority; statutory redemption rights; settlement finality for DLT-based transfers; a durable licensing and penalty structure.

SCHOLARLY NOTE. The Order and the Virtual Asset Service Providers Regulation Bill 2026 now proceed on parallel and complementary tracks. The Bill, if enacted, would supply legislative force, licensing and penalties that an executive order cannot; the Council offers a standing coordination mechanism the Bill does not itself establish. Their harmonisation, contemplated by the Order's direction to the Council to work with the Attorney-General of the Federation, will determine whether the stablecoin framework achieves coherence.

6.6 The Virtual Asset Service Providers Regulation Bill 2026

Second reading on 9 June 2026; referred to the Committee on Capital Market.

On 9 June 2026 the Senate passed the Virtual Asset Service Providers Regulation Bill 2026 for second reading and referred it to the Committee on Capital Market, with a four-week reporting mandate that has since expired without enactment. Its stated objectives are to establish a comprehensive regulatory and supervisory framework for virtual assets and VASPs; to mandate licensing, transparency and compliance requirements for exchanges; to protect investors and curb fraud; to unlock the sector's economic potential; to align Nigerian practice with FATF and IMF standards; and to equip regulators against money laundering and terrorism financing. During debate, senators urged careful harmonisation with the ISA 2025 and BOFIA to secure coherence across the system.[27]

The Bill's published objectives concentrate on licensing and integrity. They do not, in the terms reported, extend to reserve trust status, insolvency ranking, statutory redemption or settlement finality. The committee stage is therefore the point at which those protections can most efficiently be inserted, and Part 8 sets out the provisions required.

6.7 Settlement finality

STATUTORY GAP

No specific statutory provision confers finality protection on DLT-based transfers.

Settlement finality is the legal moment at which a transfer becomes irrevocable and unconditional. In traditional Nigerian markets finality is governed by the Central Securities Clearing System and the relevant provisions of the securities legislation. Public permissionless ledgers may not guarantee legally robust finality, so that transactions perceived as final could in principle be reversed. There are at present no specific statutory provisions conferring finality protection on DLT-based transfers.[28]

The domestic case for a regulated naira token does not rest on speed. The NIBSS Instant Payment (NIP) system has provided real-time, low-cost interbank transfers continuously since 2011 and is among the largest and fastest retail payment systems in the world. The difference lies at the settlement layer, and it is legally significant. Figure 5 compares the two architectures.

27. Virtual Asset Service Providers Regulation Bill 2026 (SB 956); Premium Times, 'Senate passes bill to regulate cryptocurrency, safeguard investors' (9 June 2026); The Nation, 'Senate passes crypto regulation bill to safeguard investors, digital economy' (10 June 2026).
28. Committee on Payments and Market Infrastructures and IOSCO, 'Principles for Financial Market Infrastructures' (CPMI-IOSCO, April 2012).

SETTLEMENT FINALITY · TWO ARCHITECTURES

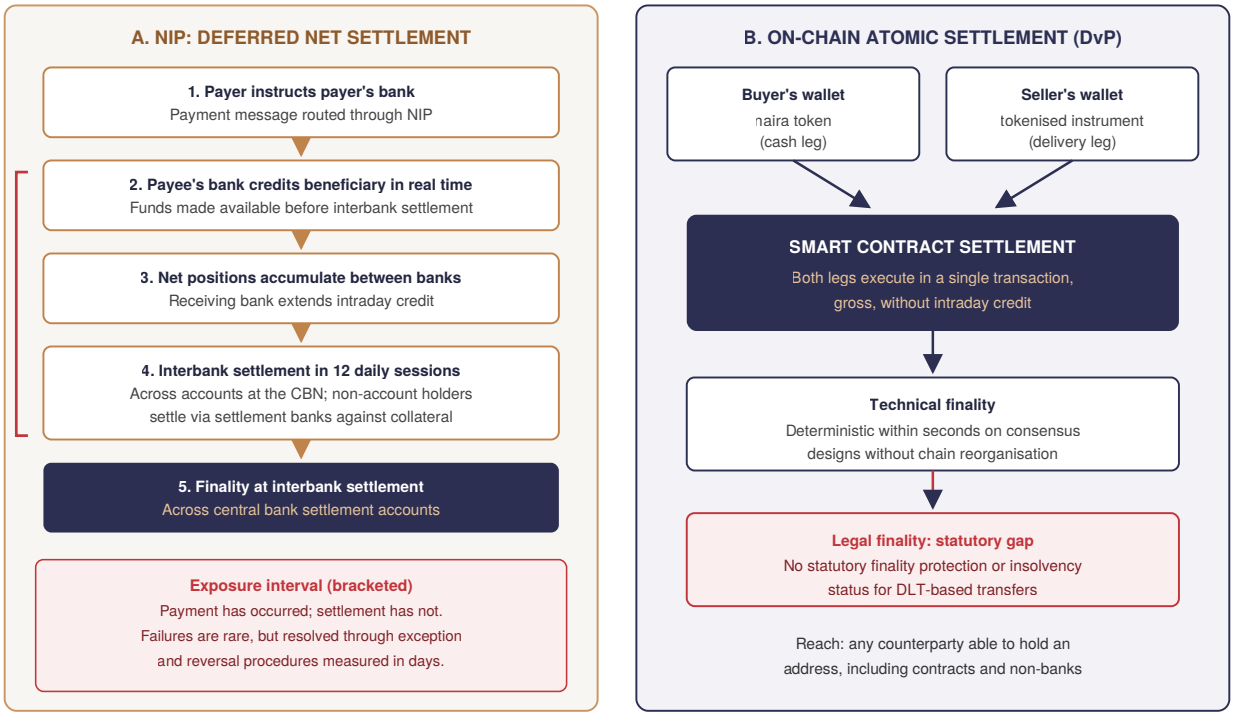


FIGURE 5 Deferred net settlement on domestic rails compared with atomic on-chain settlement through a smart contract

SCHOLARLY NOTE. The two systems are both fast; they fail differently. On domestic rails, the receiving institution extends credit to its customer ahead of interbank settlement, and failures are resolved slowly through exception handling. On-chain, payment and settlement are a single gross event: a transaction settles with technical finality within seconds or does not occur. The legal asymmetry runs the other way. Conventional settlement operates within recognised financial market infrastructure, whereas on-chain finality has no statutory protection, so that its status in insolvency or dispute is uncertain. Domestic rails cannot serve as the cash leg of on-chain delivery-versus-payment because they do not operate on-chain; that is the proposition on which the settlement-infrastructure case for a regulated naira token depends, and it is also why statutory finality is a precondition of institutional adoption.

Sources: Nigeria Inter-Bank Settlement System Plc, 'NIBSS Instant Payment (NIP)'; Bantu Blockchain Foundation, 'For Developers' (finality in two to four seconds under federated Byzantine agreement); CPMI-IOSCO Principles for Financial Market Infrastructures (2012).

The Virtual Asset Council should use the CBN regulatory sandbox to pilot DLT settlement finality, drawing on the European Union's DLT Pilot Regime and the United Kingdom's Digital Securities Sandbox, and on the PSV 2028's commitment to upgrade settlement infrastructure along the lines of Singapore's 24-hour real-time gross settlement and CBDC rails. The resulting legislation must specify when a DLT-based transfer achieves legal finality, define its status in insolvency proceedings and establish dispute-resolution mechanisms for digital settlement.[29]

6.8 AML/CFT and international obligations

Nigeria is embedded in a web of international standards through its engagement with the FATF, the FSB, the IMF and IOSCO. The FSB's 2023 framework applies the principle of 'same activity, same risk, same regu-

29. Executive Order; PSV 2028, 78 to 82.

lation'; its 2025 Thematic Review, covering 28 jurisdictions, placed Nigeria at Stage 3. IOSCO's 2023 recommendations follow a lifecycle approach to market integrity and investor protection, and the G20 Crypto-asset Policy Implementation Roadmap prepared by the IMF and FSB supplies a structured alignment pathway.[30]

Placed under increased FATF monitoring in February 2023, Nigeria was removed from the grey list on 24 October 2025 after completing a nineteen-point action plan, with technical compliance ratings on Recommendations 24, 25, 28 and 32 raised to 'largely compliant'. Delisting does not end the obligation. The FATF Recommendations continue to bind, mutual evaluations continue through GIABA, and the Travel Rule applies irrespective of grey-list status. In Nigeria, transfers above US$1,000 must carry verified originator and beneficiary information, and transfers below that threshold must still carry names and wallet addresses.[31] Travel Rule data handling engages the Nigeria Data Protection Act 2023 and the General Application and Implementation Directive, effective 19 September 2025, on principles of purpose limitation and data minimisation.[32]

TRAVEL RULE

Transfers above US$1,000 must carry verified originator and beneficiary information.

BOX 9 · EMERGING EXPOSURE

Sanctions screening as a distinct licensing condition

Stablecoin rails are fungible and attribution is difficult. A Nigerian exchange with weak counterparty screening may receive value that has passed through sanctioned infrastructure without any intention to deal with it. The relevant exposure is to Nigeria's correspondent banking relationships, only recently normalised after delisting and held by institutions whose de-risking decisions are taken abroad on precautionary rather than evidentiary standards.

SCHOLARLY NOTE. The concern has sharpened with the European Union's twentieth sanctions package, which extended prohibition to the whole category of crypto-asset service providers established in Russia with effect from May 2026, following the earlier designation of the ruble-pegged A7A5 token. Neither the Amended Rules nor the Virtual Asset Service Providers Regulation Bill 2026 presently articulates sanctions screening, as distinct from AML/CFT screening, as a licensing condition for VASPs handling cross-border stablecoin flows. It should be made one.[33]

Regional harmonisation remains aspirational. The PSV 2028 commits to harmonised standards within ECOWAS and the African Union, supported by the African Development Bank's payments harmonisation project, but neighbouring jurisdictions are proceeding on national tracks: Ghana through the Virtual Asset Service Providers Act 2025 (Act 1154),

30. Financial Stability Board, 'FSB Global Regulatory Framework for Crypto-asset Activities' (17 July 2023); FSB Thematic Review; IOSCO, 'Policy Recommendations for Crypto and Digital Asset Markets' (IOSCO FR11/23, 2023); IMF and FSB, 'G20 Crypto-asset Policy Implementation Roadmap' (October 2024).
31. FATF, 'Outcomes FATF Plenary, 22 to 24 October 2025'; FATF, 'Updated Guidance for a Risk-Based Approach to Virtual Assets and Virtual Asset Service Providers' (28 October 2021); IMF Selected Issues Paper, 11; Money Laundering (Prevention and Prohibition) Act 2022; Terrorism (Prevention and Prohibition) Act 2022.
32. Nigeria Data Protection Act 2023; Nigeria Data Protection Commission, General Application and Implementation Directive (20 March 2025, effective 19 September 2025), art. 3(3).
33. Elliptic, 'The EU's 20th Sanctions Package Targets the Architecture of Crypto Sanctions Evasion' (29 April 2026).

and the BCEAO through its own Committee for the Development of Crypto-Asset Regulations. A Nigerian framework should be designed on the assumption of continued regional fragmentation in the near term.[34]

34. Ghana Virtual Asset Service Providers Act, 2025 (Act 1154); African Development Bank, 'Harmonisation of the Existing Payments System Infrastructure across ECOWAS' (2023 to 2026).

PART 7 OF 9

07 Fiscal Architecture and Monetary Sovereignty

> *Monetary sovereignty is usually discussed as a question for the central bank. In Nigeria it is now equally a question of tax design, because the rules that measure gains and charge conversions shape the relative attractiveness of dollar and naira instruments.*

7.1 Digital dollarisation and the sovereignty problem

Where dollar-referenced stablecoins circulate alongside the naira they may function as parallel currencies for remittances, savings, cross-border commerce and value storage. The IMF has identified currency substitution, volatile capital flows, payment system fragmentation and limited redemption rights as the principal policy concerns associated with stablecoin adoption in emerging markets.[35] Its 2026 Article IV Consultation with Nigeria, concluded on 1 June and published on 9 June 2026, included a dedicated staff note on stablecoins finding that dollar-stablecoin adoption has accelerated digital dollarisation capable of weakening monetary policy effectiveness, increasing capital flow volatility and heightening disintermediation risk. The Fund recommended alignment with FSB standards, including licensing, consumer protection and reporting thresholds for naira to digital asset conversions, and stronger CBN and SEC coordination.[36]

The appropriate policy response is not prohibition, which would likely drive activity underground, but the creation of compelling domestic alternatives. A regulated naira token preserves the efficiency of blockchain-based payment while keeping digital value within the domestic monetary unit. The IMF has correctly observed, however, that a naira-referenced instrument does not address the depreciation risk that generates demand for dollar stablecoins.[37] A naira token cannot hedge the naira. It should instead be evaluated as settlement infrastructure: turnover of approximately eighty-seven times outstanding circulation (cumulative traded volume of ₦210.3 billion against roughly ₦2.4 billion in circulation, across 376,800 on-chain transactions to 27 July 2026) is consistent with use rather than accumulation.[38]

35. International Monetary Fund, 'Digital Money Across Borders: Macro-Financial Implications' (IMF Policy Paper, 2022); IMF Selected Issues Paper, 6.
36. International Monetary Fund, *Nigeria: 2026 Article IV Consultation* (IMF Country Report No. 26/125, 9 June 2026), Country Focus note on stablecoins; IMF, 'IMF Executive Board Concludes 2026 Article IV Consultation with Nigeria' (Press Release No. 26/190, 9 June 2026).
37. IMF Selected Issues Paper.
38. WrappedCBDC Limited, transparency data (27 July 2026); cNGN Attestation, Table 3.

> *A naira token cannot hedge the naira. It should instead be evaluated as settlement infrastructure.*

7.2 The NRS Guidelines in the hierarchy of norms

The NRS Guidelines, issued on 31 July 2026 as Information Circular No. 2026/21, supply the classification, computation, collection and enforcement machinery through which the Nigeria Tax Act 2025 (NTA 2025) and the Nigeria Tax Administration Act 2025 (NTAA 2025) now operate on virtual assets. Their normative status must be stated at the outset, because much turns on it.

BOX 10 · HIERARCHY OF NORMS

The NRS Guidelines: authority, limits and an overreaching reservation

Enabling provisions. Nigeria Revenue Service (Establishment) Act 2025, s. 4; NTA 2025, Ninth Schedule; NTAA 2025, s. 79 and Fifth Schedule. The Guidelines interpret and administer these statutes rather than adding to them. Where Circular and statute diverge, the statute governs, and the Service reserves power to withdraw, replace or amend the Guidelines at any time.

The reservation in para. 8.0. Rates in para. 8.1 are said to apply until revised by subsequent legislation, regulation 'or instrument issued by the Service'. The third limb asserts a power the Service does not hold: NTAA 2025, s. 51(1) refers the withholding rate to regulations, and item 33 of the Ninth Schedule to the NTA 2025 fixes the stamp duty rate in the statute itself.

Valuation. NTAA 2025, Fifth Schedule, para. 3 prescribes the prevailing market price as determined by a recognised exchange platform approved by the Service, and s. 39(1) requires assessment in the currency of transaction. The Guidelines' dollar-referenced methodology measures value in a currency in which the transaction was not conducted.

SCHOLARLY NOTE. These are points of administrative law with direct adjudicative consequences. A court reviewing an assessment or a withholding deduction must ask whether the operative rule derives from the statute or only from the Circular. Relief conferred by circular is structurally the same defect as tax imposed by circular, and correspondingly fragile: because the dollar-referenced methodology favours taxpayers, it is unlikely to be challenged, yet an assessment raised on a straight naira basis would not obviously be bad in law.[39]

The Guidelines classify virtual assets into six categories. Table 8 summarises the classification and principal treatment.

FISCAL TAXONOMY · NRS GUIDELINES, PARA. 5.0

CATEGORY	DESCRIPTION	PRINCIPAL TAX TREATMENT
1. Cryptocurrencies and exchange tokens	Medium of exchange, store of value or unit of account; not pegged to fiat; market-determined value	Gain computed in US dollars and converted at disposal-date rate; 1% withholding on gross disposal proceeds, deducted in token
2. Stablecoins and payment tokens	Designed to maintain stable value by reference to fiat; payment and settlement function (e.g. USDT, USDC, BUSD, DAI, PYUSD)	Gain measured against pegged currency, normally nil; no withholding; self-assessment; any yield component assessed under Category 4

39. NRS Guidelines, paras. 3.0, 8.0, 8.1 and 14.0; NTAA 2025, ss. 39(1) and 51(1) and Fifth Schedule, para. 3; NTA 2025, Ninth Schedule, item 33.

CATEGORY	DESCRIPTION	PRINCIPAL TAX TREATMENT
3. Security and investment tokens	Ownership of an economic interest in an asset, enterprise or cash flow; regulated as securities under the ISA 2025	1% withholding on disposal; s. 184(h) NTA 2025 stamp duty exemption extends to tokenised Nigerian stocks and shares only; para. 7(d) Fifth Schedule question unresolved
4. Utility and governance tokens	Including tokens generating yield, staking rewards or DeFi returns	10% withholding on staking, mining, airdrop and DeFi receipts treated as passive income
5. Non-fungible tokens	Unique digital tokens	1% withholding on gross disposal proceeds
6. Sovereign digital currency	eNaira and foreign CBDCs held by Nigerian residents	Treated as fiat; no virtual asset tax obligations
Cross-cutting	All fiat and token conversions; VASP service fees	Stamp duty of 1.5% on fiat to token and token to fiat transfers, borne by the token transferee; VAT on fees, commissions and charges (not on the transfer of the asset itself)

TABLE 8 Fiscal taxonomy of virtual assets under the NRS Guidelines 2026

SCHOLARLY NOTE. The classification is functional rather than technical and, for prudential purposes, too coarse: Category 2 draws no distinction between reserve-backed, crypto-collateralised and algorithmic stabilisation. That may be defensible for tax, since the fiscal consequence of a disposal does not obviously turn on mechanism, but it confirms that the prudential taxonomy set out in Table 2 must come from primary legislation rather than from guidance issued by authorities pursuing their own functional objectives. The Category 6 exclusion has a plausible statutory footing in the NTAA 2025, Fifth Schedule, para. 7(a) and (b), although the Circular does not cite it.

Sources: NRS Guidelines, paras. 5.0, 6.2, 8.1, 9.1 and 9.5(1); NTA 2025, s. 184(h) and Ninth Schedule, item 33; NTAA 2025, Fifth Schedule, para. 7.

7.3 The dollar-referenced computation and the untaxed hedge

The Guidelines' most distinctive feature is the measurement of gains in United States dollars. The cost base and disposal proceeds are converted to dollars at the CBN/NAFEM rate on the respective dates, and only the resulting dollar gain is converted into naira at the disposal-date rate. The effect is to exclude from assessable income the part of an apparent naira gain that reflects nothing more than naira depreciation.[40]

BOX 11 · WORKED ILLUSTRATION

Dollar-referenced computation of a chargeable gain

STEP	NAIRA BASIS	DOLLAR-REFERENCED BASIS
Acquisition at ₦1,000 per US$1	₦1,000,000	US$1,000.00
Disposal at ₦1,500 per US$1	₦1,970,000	US$1,313.33
Gain	₦970,000 (apparent)	US$313.33
Assessable naira gain	n/a	₦470,000
Depreciation component excluded		₦500,000

40. NRS Guidelines, paras. 9.1 and 9.1.2, Illustration 2.

For Category 2 stablecoins the Guidelines go further: gains are measured against the pegged currency and will normally be nil. A resident who buys USDT at ₦1,000 per dollar and sells at ₦1,500 has obtained, in naira terms, exactly the depreciation hedge that drives Nigerian stablecoin demand. Measured against the dollar peg, that benefit is nil and no income tax arises.

SCHOLARLY NOTE. As tax policy the methodology is defensible: a gain that exists only because the unit of account has depreciated is not economic income, and taxing it taxes capital. The difficulty is one of interaction, not design. The State now taxes the act of transacting in stablecoins (through conversion duty and VAT on fees) but not the act of holding them as a hedge against the currency it is charged with defending, at the moment it seeks to build a competitive domestic alternative. Whether that is an acceptable price for fiscal coherence is a judgement for the Virtual Asset Council, not for the Service acting alone.

7.4 Conversion duty and the remittance corridor

ITEM 33, NINTH SCHEDULE

Fixes the 1.5 per cent rate and allocates the burden to the token transferee.

The Guidelines give operative effect to item 33 of the Ninth Schedule to the NTA 2025 by imposing stamp duty of 1.5 per cent on transfers from fiat to token and token to fiat. The rate and the allocation of the burden to the transferee are fixed by the statute. The duty is withheld in token units from the tokens credited to the transferee and does not reduce the fiat consideration: a buyer paying ₦1,000,000 for a token pays in full, the seller receives in full, and the buyer receives 98.5 per cent of the tokens.[41] The charge is levied on gross value, not on gain or margin. For an instrument whose function is the movement of value, which is how the Guidelines themselves classify stablecoins, a turnover charge is materially heavier than a gains charge.

On an outbound business payment, the Nigerian business converting naira into tokens for a foreign counterparty bears the duty directly; the foreign recipient is not the transferee. On an inbound remittance, the recipient who converts tokens into naira is not the statutory bearer, since the buyer of the tokens is the transferee, but the duty is a cost to the buy side of every naira and token pair and will in a competitive market be reflected in the rate quoted to the recipient. Because the duty is embedded in cost base rather than relieved, it attaches on the way in and again on the way out, cascading without input relief.[42] Figure 6 places these figures against remittance cost benchmarks.

41. NRS Guidelines, paras. 6.3(1) to (2), 6.3(9) to (11) and 8.1, Illustration 1; NTA 2025, Ninth Schedule, item 33.
42. NRS Guidelines, paras. 6.3(8) and 6.3(11).

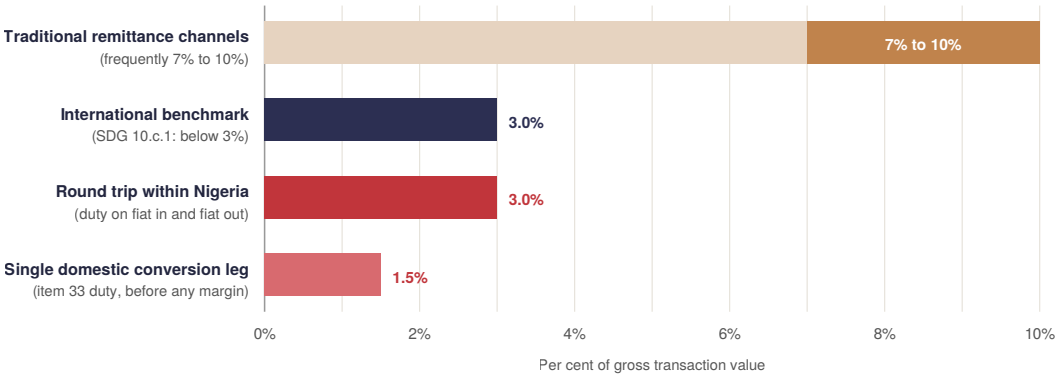


FIGURE 6 Conversion duty measured against remittance cost benchmarks (per cent of transaction value)

SCHOLARLY NOTE. A single domestic conversion leg consumes half of the international 3 per cent benchmark before any provider margin, foreign exchange spread or network fee. Stablecoin corridors retain a substantial advantage over traditional channels, but that advantage is narrowed by a domestic fiscal instrument rather than by any technological inefficiency, and within a fortnight of an Executive Order made to harmonise agency action. Two statutory questions may alter the incidence materially. First, if the ₦10,000,000 exemption carried in the conveyance family of the Ninth Schedule travels with item 33, most retail-scale conversions fall outside the charge. Second, NTAA 2025, Fifth Schedule, para. 2(2)(a) requires payment with a virtual asset to receive the same tax treatment as payment in fiat; where a conversion charge makes a stablecoin payment heavier than its fiat equivalent, that neutrality rule is engaged. A further threshold question is what executed instrument, for the purposes of NTA 2025, s. 123, is dutiable when a customer converts on an exchange.

Sources: NRS Guidelines, paras. 6.3(8) to (11) and 8.1; NTA 2025, ss. 123 and 124 and Ninth Schedule, item 33; NTAA 2025, Fifth Schedule, para. 2(2)(a); Sustainable Development Goal indicator 10.c.1; BIS, 'Cross-Border Payment Technologies' (BIS Papers No. 167, 2025).

7.5 Domestic asymmetries: eNaira, cNGN and a measurement divergence

CATEGORY 6 AND CATEGORY 2

The eNaira bears no virtual asset tax obligations; on the face of the Circular, the regulated naira token does.

Nigeria's two domestic digital naira instruments are taxed on materially different bases. The eNaira falls within Category 6 and bears no virtual asset tax obligations; the regulated naira token falls, on the face of the Circular, within Category 2, so that its fiat conversions attract duty and its service fees attract VAT. The distinction follows from the identity of the issuer rather than from any difference in economic function. A prior question, which the Circular does not reach, is whether a naira-referenced token issued under regulatory authorisation could fall within the Fifth Schedule's exclusion for electronic money licensed by the CBN. The token's SEC rather than CBN authorisation tells against the exclusion on current facts, but the boundary is undefined, and no naira-referenced stablecoin appears anywhere in the Circular.[43]

A second question concerns which measurement rule governs a naira-referenced token. Paragraph 9.1.1(2) measures Category 2 gains against the pegged currency; paragraph 9.1.1(1) and the computation formula measure gains in dollars. For a dollar-referenced stablecoin the rules coincide. For a naira token they diverge: against its peg it yields no gain or loss, but measured in dollars its holder books a loss whenever the

43. NRS Guidelines, paras. 5.0 and 7.2.8; NTAA 2025, Fifth Schedule, para. 7(a) and (b).

naira depreciates, a loss available for set-off against other virtual asset gains and carried forward indefinitely. On that reading a naira stablecoin becomes a structural generator of deductible losses on an asset carrying no market risk, a fiscal advantage that rewards holding the token as a tax position rather than using it as a settlement instrument. The Circular states neither which rule governs nor whether the divergence was noticed.[44]

7.6 Public revenue on-chain

The Guidelines require income tax withheld at source and stamp duty to be remitted to the Service in the originating token, without intermediate naira conversion, and establish a token treasury to receive them. The Service is therefore now a routine counterparty to on-chain transfers, and public revenue is exposed to the same unresolved finality risk as institutional participants.[45] The token treasury also raises, for public funds, the custody questions examined in Part 5: key security and governance, choice of settlement chains, network fees, reconciliation, erroneous transfers, and the position where a supported token is frozen by its issuer, forks or de-pegs while held.

The statutory basis of token-denominated remittance is contestable. The Service's implicit authority is NTAA 2025, s. 39, under which tax assessed in a currency other than the naira is payable in that currency. But the Fifth Schedule defines a virtual asset as a digital representation of value and expressly excludes national and foreign currencies from the definition. If a token is not a currency, a transaction in it is not a transaction in a currency other than the naira, and s. 39(2) does not carry the obligation. A constitutional question also arises under s. 80 of the Constitution, which requires federal revenues to be paid into the Consolidated Revenue Fund: when, and in what unit, tax held in tokens enters the Fund, and who bears price movements in the interval, is answered by no published instrument.[46] The cleaner course is to compute tax at transaction-time value and require settlement in naira; if token remittance is retained, s. 39 should be amended to authorise it expressly.

SECTION 80, CFRN

Federal revenues are to be paid into the Consolidated Revenue Fund.

The mechanism nonetheless has no counterpart in MiCA, the GENIUS Act, the United Kingdom, Singapore, Hong Kong or the Russian statute. Comparator jurisdictions tax virtual assets; none has so far accepted payment in them at the level of routine administration. If it operates successfully, it may become the first element of Nigeria's framework that other jurisdictions have reason to study.

44. NRS Guidelines, paras. 9.1.1(1) to (2) and 9.4(5) to (7).
45. NRS Guidelines, paras. 11.1 and 11.2.
46. NTAA 2025, s. 39(1) to (2) and Fifth Schedule, para. 7; CFRN, s. 80.

7.7 Prohibition or competition: the monetary policy choice

The Russian Federation offers a prohibitory alternative. Under its adopted 2026 law the ruble remains the sole lawful means of domestic settlement; digital currencies, including foreign stablecoins to which the law expressly extends, may not be used for domestic payments, salaries or commercial transactions; non-qualified investors are capped at 300,000 rubles (approximately US$3,800) per intermediary per year; and exporters and importers may use digital currencies in cross-border settlement without quantitative limit. The digital ruble's scaled rollout begins on 1 September 2026.[47]

BOX 12 · COMPARATIVE LESSON

Separating domestic containment from cross-border efficiency, and choosing the locus of regulation

Separation. The Russian law demonstrates that domestic monetary objectives and cross-border settlement objectives can be separated at the level of legislative design, which is precisely the separation that the PSV 2028's corridor ambitions and the CBN's foreign exchange concerns presently pull against.

Enforcement. Nigeria's institutional setting affords nothing approaching the enforcement capacity the Russian model presupposes. A prohibition unmatched by enforcement would deliver the costs of restriction without its monetary benefits; Russian practitioners already expect continued recourse to foreign platforms.

Locus. Where MiCA, the GENIUS Act and the Singapore and Hong Kong regimes regulate the issuer, Russia regulates the intermediary and the channel. For a market dominated by foreign-issued stablecoins whose issuers Nigeria cannot practically supervise, channel-based regulation through SEC-registered VASPs is the more enforceable technique, and it requires no change to the ISA 2025's classification scheme.

SCHOLARLY NOTE. The Russian framework is not a template. Its architecture is conventional and in several respects rigorous, but its purpose is substantially to construct settlement infrastructure beyond the reach of dollar and euro clearing, with direct sanctions and correspondent-banking implications for a recently delisted FATF member. The lesson is methodological: the locus of regulation, issuer or channel, is a design choice Nigeria has not yet consciously made, and the two techniques are complements rather than alternatives. The availability of the prohibitory model strengthens rather than weakens the case for Nigeria's strategy of competitive domestic alternatives.

47. Bill No. 1194918-8 (Russian Federation); Bank of Russia, Press Release (21 July 2026); The Moscow Times, 'Russia Passes Crypto Law to Legalize Trading Under Tight Central Bank Oversight' (22 July 2026).

PART 8 OF 9

08 Policy and Reform Recommendations

> *The recommendations below are normative. They are organised by the institution best placed to act: the legislature, the courts, the regulators acting together, and the fiscal authority. Their common premise is that Nigeria has largely solved the question of who supervises stablecoins and has not yet solved the question of what holders are entitled to.*

Four design principles govern the programme. Protection should be proportionate to local institutional capacity; supportive of innovation and financial inclusion; protective of monetary sovereignty and financial stability; and aligned with Nigeria's obligations under FATF, FSB and IMF standards. Core entitlements belong in primary legislation. Operational detail may properly sit in subsidiary rules, but only where its alteration does not strip holders of protections on which they have relied.

8.1 Legislative drafting

R1. Codify a stablecoin taxonomy and the jurisdictional allocation

Supplementary legislation, most efficiently inserted into the Virtual Asset Service Providers Regulation Bill 2026 at committee stage, should distinguish fiat-referenced stablecoins, asset-referenced tokens and algorithmic stablecoins within the securities taxonomy, and should define a payment-stablecoin category whose relationship to section 357 of the ISA 2025 is stated expressly. The Executive Order's allocation of securities-type activity to the SEC, and of payment, settlement and custody services in non-security virtual assets to the CBN, should be codified for durability beyond the current administration.

VEHICLE

The VASP Regulation Bill 2026 at committee stage is the most efficient point of insertion.

R2. Adopt a proprietary characterisation alongside the securities classification

Legislation should confirm that stablecoins and other virtual assets are capable of being property, so as to supply clarity in insolvency, succession, matrimonial division and enforcement of judgments, without displacing their regulatory classification. The provision should address the relationship between the holder's proprietary rights and an issuer's technical powers to pause, restrict or freeze transfers.

R3. Proportionate issuance criteria

Issuance should be confined to regulated entities meeting capital, governance and operational resilience requirements proportionate to scale and systemic importance. The current ₦2 billion threshold may suit significant issuers; lower tiers for non-systemic issuers, and tiered entry pathways within ARIP, would preserve innovation without diluting protection.

R4. Mandatory reserve standards

Every stablecoin in issue should be backed in full by high-quality liquid reserve assets. Permitted assets should include central bank reserves, government securities of short residual maturity and deposits with regulated banks. Consideration should be given to minimum deposit proportions along the lines of MiCA's 30 and 60 per cent thresholds, to concentration limits, and to the treatment of reserves held in collective investment schemes that may themselves be settled in the same token. Monthly independent reasonable-assurance attestation should become a legal requirement rather than a voluntary practice.

R5. Statutory trust and insolvency ring-fencing

Reserve assets should be held on statutory trust, or subject to an equivalent statutory segregation device, for the benefit of holders; excluded from the issuer's estate available to general creditors; and applied first to redemption claims on insolvency. Drawing on the United Kingdom's approach, a shortfall reserve to cover operational losses, fraud and wind-down costs should be considered for significant issuers.

R6. An unconditional statutory right of redemption at par

Holders should have a statutory right to redeem at par in the referenced fiat currency, completed within a specified period not exceeding five business days for retail holders, consistent with Singapore's framework. Issuers should publish clear redemption policies and should not charge redemption fees except in exceptional circumstances. The right should be enforceable against the issuer and, in insolvency, against the reserve.

R7. Settlement finality for DLT-based transfers

Legislation should confer finality protection on DLT-based transfers or designate qualifying DLT arrangements as statutory settlement systems, specifying the moment of irrevocability, the status of transfers in insolvency and the applicable dispute-resolution mechanisms. The provision should extend to transfers to and from public authorities, including the Nigeria Revenue Service's token treasury.

R8. Integrity, redress and the foreign-issuer problem

Primary legislation should embed Travel Rule requirements currently found in subordinate instruments; make sanctions screening, distinct from AML/CFT screening, a licensing condition for VASPs handling

cross-border stablecoin flows; provide consumer redress, including compensation mechanisms on issuer insolvency or fraud; and regulate foreign-issued stablecoins through the licensed domestic channel through which they must be acquired, held and transferred.

BOX 13 · DRAFTING GUIDANCE

Illustrative statutory language for holder protection (for discussion only)

Reserve assets. (1) An authorised issuer shall at all times hold reserve assets of a value not less than the aggregate par value of the stablecoins it has issued and not redeemed. (2) Reserve assets shall consist only of assets of a class prescribed by the Commission, in consultation with the Central Bank, as high-quality and liquid.

Statutory trust. (3) Reserve assets are held by the authorised issuer on trust for the holders of its stablecoins in proportion to their holdings, shall be kept separate from the issuer's own assets, and shall not form part of the issuer's estate or be available to its creditors other than holders in their capacity as such.

Redemption. (4) A holder is entitled, on request, to redeem a stablecoin at par in the referenced currency, and the issuer shall complete redemption within the period prescribed, which for a retail holder shall not exceed five business days.

Finality. (5) A transfer of a stablecoin effected through a designated settlement arrangement is final and irrevocable from the moment prescribed in the designation, and shall not be reversed, set aside or rendered void by reason only of the insolvency of a participant.

SCHOLARLY NOTE. The language is illustrative and has not been settled against the text of the ISA 2025, BOFIA, applicable corporate insolvency legislation or the Bill as it emerges from committee; cross-references, definitions and transitional provisions would require careful integration. It is offered to show that the protections identified in Parts 4 and 5 are capable of compact statutory expression, and that each corresponds to a comparative model (MiCA, the GENIUS Act, the United Kingdom's statutory trust and Singapore's redemption period) already tested elsewhere.

8.2 Judicial adjudication

SEE BOX 5

Securities classification settles regulatory competence; proprietary and insolvency consequences follow private-law principles.

Until legislation is enacted, courts will be asked to resolve disputes on the basis of contract, fiduciary principle and the existing regulatory instruments. The following guideposts are proposed for consideration in adjudication and in judicial education programmes.

a. **Characterise at the correct level.** Treat securities classification under section 357 as determinative of regulatory competence only, and analyse proprietary and insolvency consequences on private-law principles, informed by the terms of issuance, account arrangements and redemption policy.

b. **Apply the hierarchy of norms rigorously.** Give primary legislation precedence over subsidiary rules, and both over administrative circulars. Scrutinise whether an operative fiscal rule, such as a withholding rate, a valuation method or a token remittance obligation, derives from statute or only from the NRS Guidelines. Recognise that an executive order coordinates but does not confer powers.

c. **Construct segregation arrangements in light of their evident purpose.** Where reserve assets are held in segregated accounts expressly on behalf of holders and verified as such, consider whether the arrangement discloses an intention to create a trust, while recognising that the question is untested and that comparative statutory models indicate the protection legislatures elsewhere judge necessary.

d. **Use technical evidence appropriately.** Independent attestations and public blockchain records are probative of reserve existence and token circulation; they do not of themselves establish entitlement or priority.

e. **Take account of control architecture.** Where tokens carry pause, allowlist or freezing functions exercisable by an identifiable administrator, that fact is relevant both to characterising the holder's rights and to the practicability of preservation relief.

f. **Address open construction questions expressly.** Among them: whether the Fifth Schedule's reference to the repealed Investments and Securities Act 2007 carries forward to the 2025 Act; whether 'digital representations of other assets' reaches natively issued security tokens; and whether a naira-referenced token could fall within the exclusion for CBN-licensed electronic money.

8.3 Cross-regulatory harmonisation

a. **Harmonised Implementation Framework.** The Virtual Asset Council should use its framework to reconcile the three classifications examined in Part 3, to state the regime-selection rule for stablecoins functioning as payment instruments, and to review the NRS Guidelines against the PSV 2028.

b. **SEC and CBN.** Establish a joint framework for interoperability between private stablecoins and the eNaira, covering conversion, shared settlement infrastructure, technical standards, operational protocols and data sharing; and pilot DLT settlement finality in the CBN sandbox.

c. **SEC and NFIU.** Issue joint guidance on Travel Rule implementation, and reconcile Tax ID onboarding under NTAA 2025, s. 8 with customer due diligence into a single process consistent with the Nigeria Data Protection Act 2023.

d. **NDIC, CBN and SEC.** Determine expressly the allocation of depository-failure risk for reserve assets held with insured institutions (Box 7).

e. **Market data.** The SEC should regularly publish statistics on licensed institutions, crypto accounts and daily turnover, and the Council's data mandate should in due course be placed on a statutory footing.

f. **Enforcement and education.** Establish a dedicated digital asset enforcement unit within the SEC, enforce the prohibition on

unlicensed promotion, and expand investor education under the 'Crypto Smart, Nigeria Strong' initiative.

g. **Regional.** Pursue information sharing, mutual recognition of authorisations and harmonised AML/CFT standards within ECOWAS, designed on the assumption of continued fragmentation across Ghana, the BCEAO zone and other neighbours.

8.4 Fiscal alignment

a. **Reconciliation.** The Council should decide whether a corridor relief, a retail remittance threshold or a reduced rate on conversions evidenced as remittance-related is warranted, and whether fiscal treatment should be neutral as between domestic and foreign-currency stablecoins.

b. **Correction.** Delete 'or instrument issued by the Service' from para. 8.0; support each rate in para. 8.1 with a pinpoint citation; state the dutiable instrument for NTA 2025, s. 123 and the position on the ₦10,000,000 conveyance exemption; state the position on Fifth Schedule, para. 7(d) and Category 3; and align valuation with Fifth Schedule, para. 3.

c. **Completion.** Resolve the measurement divergence in para. 9.1.1 for naira-referenced tokens; clarify whether the small-disposal exemption (proceeds up to ₦150 million and gains up to ₦10 million in twelve months) applies to virtual asset disposals; resolve the VAT treatment of undisclosed conversion spreads; publish the approved valuation sources and supported-token lists; and address customers onboarded before the Tax ID requirement.

d. **Elevation.** Re-enact the classification, computation methodology and collection architecture as regulations under the NTAA 2025, or in the Bill where they touch the regulatory perimeter; and either require naira settlement of tax computed at transaction-time value or amend NTAA 2025, s. 39 to authorise token remittance expressly, with provision for custody governance and entry into the Consolidated Revenue Fund.

8.5 Sequencing

Table 9 consolidates the recommendations, their addressees and their proposed phasing. Table 10 sets out a three-phase implementation programme. The phasing has been adjusted to reflect the fact that administrative guidance has outpaced legislation: the most detailed operative framework for Nigerian virtual assets arrived as a circular in July 2026 while the Bill remained before the Senate, delivering certainty to the market faster than legislation would have, but resting on an instrument of unusual fragility.

CONSOLIDATED REFORM MATRIX

NO.	RECOMMENDATION	PRIMARY ADDRESSEE	VEHICLE	PHASE
R1	Stablecoin taxonomy; payment-stablecoin category; codified SEC and CBN allocation	National Assembly	VASP Bill 2026 or ISA 2025 amendment	One
R2	Proprietary characterisation of virtual assets	National Assembly	VASP Bill 2026	One
R3	Tiered, proportionate issuance criteria	SEC	Rules; ARIP enhancement	One to Two
R4	Mandatory reserve composition and attestation	National Assembly; SEC with CBN	Statute with prescribing rules	One
R5	Statutory trust and insolvency ring-fencing	National Assembly	VASP Bill 2026 or ISA 2025 amendment	One
R6	Statutory par redemption within five business days	National Assembly	VASP Bill 2026	One
R7	Statutory settlement finality for DLT transfers	National Assembly; CBN sandbox	Statute following pilot	One to Two
R8	Travel Rule in statute; sanctions screening licence condition; redress; channel regulation	National Assembly; SEC; NFIU	VASP Bill 2026; joint guidance	One
J	Adjudicative guideposts and judicial education	Courts; judicial institutes	Case law; training	Continuous
H	Harmonised Implementation Framework; interoperability; NDIC allocation; data	Virtual Asset Council	Framework; memoranda of understanding	One to Two
F	Fiscal reconciliation, correction, completion and elevation	NRS; Council; National Assembly	Revised Circular; regulations; NTAA amendment	One
E	Regional coordination within ECOWAS	CBN; SEC	Bilateral and multilateral arrangements	Two

TABLE 9 Consolidated reform matrix: recommendation, addressee, vehicle and phase

SCHOLARLY NOTE. Recommendations R1, R2 and R4 to R6 share a legislative vehicle and are mutually dependent: a statutory redemption right is of limited value without a ring-fenced reserve, and a ring-fenced reserve is of limited value without a prescribed composition. They should be enacted together. The fiscal recommendations can proceed in parallel because they fall largely within the Service's existing competence or require only targeted amendment.

PHASED IMPLEMENTATION

PHASE	FOCUS AND DELIVERABLES	INDICATORS OF COMPLETION
Phase one (2026 to 2027): legislative harmonisation	Passage of the VASP Regulation Bill with holder protections; ISA 2025 amendments on reserve trust status and settlement finality; joint SEC and CBN guidance on eNaira interoperability; **elevation of the core provisions of the NRS Guidelines into regulations or statute**	Enacted statutory redemption, trust and finality provisions; codified jurisdictional allocation; regulations replacing circular-based rates and methods
Phase two (2027 to 2028): institutional capacity	Enhanced ARIP with tiered pathways; market surveillance tools; regional coordination mechanisms within ECOWAS; DLT finality pilot concluded	Published market statistics; operational suptech integration; signed regional arrangements

PHASE	FOCUS AND DELIVERABLES	INDICATORS OF COMPLETION
Phase three (2028 to 2029): implementation and evaluation	Assessment of naira stablecoin adoption, sandbox effectiveness and effects on financial inclusion, remittance costs and monetary stability	Independent evaluation report; recalibration of thresholds and reliefs

TABLE 10 Phased implementation programme, as adjusted for the administrative sequence of 2026

SCHOLARLY NOTE. The phasing follows the principle that entitlement should precede scale. The PSV 2028's six guiding principles (interoperability, security, inclusion, innovation, trust and collaboration) supply the strategic frame; the challenge is to operationalise them through binding rules, institutional coordination and international engagement rather than through conditions attached to individual authorisations.

PART 9 OF 9

09 Conclusion

Nigeria has done something few jurisdictions have done: it has brought a local-currency stablecoin issuer inside a supervised perimeter, integrated stablecoins into its central bank's payments strategy, established a standing inter-agency council, and built a detailed fiscal architecture for virtual assets, all within roughly two years. The first-mover position is real, and it would be straightforward to lose.

The weakness of the framework lies not in supervision but in entitlement. Holders of Nigeria's regulated naira token benefit from reserve, attestation and disclosure standards that in several respects exceed international minimum practice, yet those standards bind the issuer only because it has chosen to observe them, and they are enforceable by holders only in contract. There is no statutory right to redeem at par, no statutory trust over the reserve, no ranking of holders on insolvency, and no statutory finality for on-chain settlement. The fiscal framework, meanwhile, leaves the dollar hedge untaxed while imposing a turnover charge on the very corridors the payments authority seeks to promote.

> *The task is to convert good practice into law before scale, stress or insolvency tests the difference.*

The regulated naira token is, in this sense, the test case for the framework Nigeria now needs. It demonstrates that a Nigerian issuer can meet demanding standards and prove it monthly. It also demonstrates that it can do so entirely voluntarily, without any of those standards being legally required of it or legally enforceable by the holders they protect. Both propositions are true at once, and the second is the reason the first is not sufficient. The task for the legislature, the courts and the Virtual Asset Council is to convert good practice into law before scale, stress or insolvency tests the difference.

ANNEX

A Instruments, Sources and Glossary

A. NIGERIAN CONSTITUTIONAL, STATUTORY AND SUBSIDIARY INSTRUMENTS

Constitution of the Federal Republic of Nigeria 1999 (as amended), ss. 5 and 80.

Banks and Other Financial Institutions Act 2020.

Central Bank of Nigeria Act Cap. C4 Laws of the Federation of Nigeria 2004.

Finance Act 2023 (amending the Capital Gains Tax Act Cap. C1 Laws of the Federation of Nigeria 2004).

Investments and Securities Act 2025, s. 357.

Joint Revenue Board (Establishment) Act 2025.

Money Laundering (Prevention and Prohibition) Act 2022.

Nigeria Data Protection Act 2023.

Nigeria Revenue Service (Establishment) Act 2025, s. 4.

Nigeria Tax Act 2025, ss. 27, 28, 57, 123, 124 and 184(h); Ninth Schedule, item 33.

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E. Glossary of terms

TERM	MEANING IN THIS BULLETIN
Approval-in-principle (AIP)	Time-limited authorisation, not exceeding twelve months, granted under ARIP pending full registration
ARIP	The SEC's Accelerated Regulatory Incubation Programme for virtual asset service providers
Atomic settlement / DvP	Settlement in which the cash and delivery legs execute in a single indivisible transaction (delivery versus payment)
Attestation (reasonable assurance)	An independent engagement producing a positive-form conclusion on a subject matter, here that reserve assets equal or exceed tokens in circulation
CBDC	Central bank digital currency; in Nigeria, the eNaira
De-pegging	Loss of a stablecoin's stable value relative to its reference asset
Deferred net settlement	A system in which obligations are netted and settled between institutions at intervals, after customers have been credited
Digital dollarisation	The use of dollar-referenced digital instruments as stores of value and means of payment in a non-dollar economy
DLT	Distributed ledger technology
Fiat-referenced stablecoin	A stablecoin referencing one or more fiat currencies, intended for use as a means of payment or store of value (SEC Amended Rules)
Insolvency ring-fencing	Exclusion of identified assets from an insolvent entity's estate for the benefit of a defined class
NIP	NIBSS Instant Payment, Nigeria's real-time retail interbank transfer system

TERM	MEANING IN THIS BULLETIN
Par redemption	Redemption of a token for one unit of its reference currency per token
Statutory trust	A trust arising by force of legislation rather than by the intention of the parties
Travel Rule	The FATF requirement that originator and beneficiary information accompany virtual asset transfers between service providers
VASP	Virtual asset service provider

NOTE. Definitions are functional summaries for the purposes of this Bulletin and are not substitutes for the statutory or regulatory definitions in the instruments listed in Parts A to C of this Annex.

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